

REVISTING MACROECONOMIC AGGREGATES & FINANCIAL INDICATORS

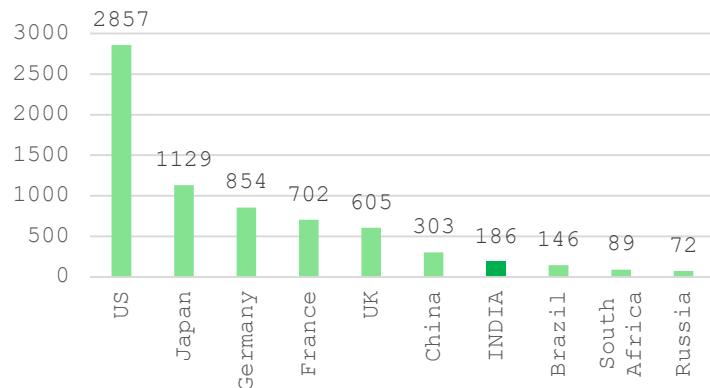
- GDP & National Income Accounting**
- External Statistics (CAD, BoP & External Debt)**
 - Price Indices & Inflation**
- Monetary Statistics & Financial Market Indicators**
 - Fiscal Statistics (Deficits & Public Debt)**

- Mridul Saggar
Professor of Practice (Economics)

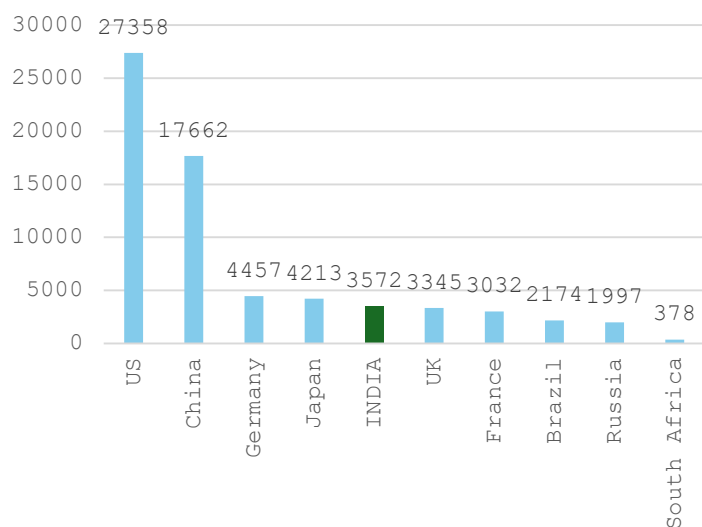
Why do we need to know the metrics commonly used by macroeconomists?

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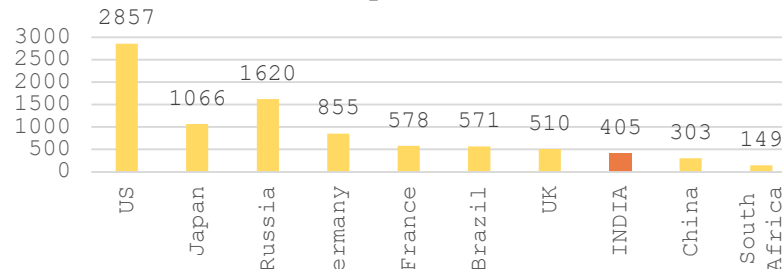
GDP current US\$ bn in 1980
(except Russia in 1992)



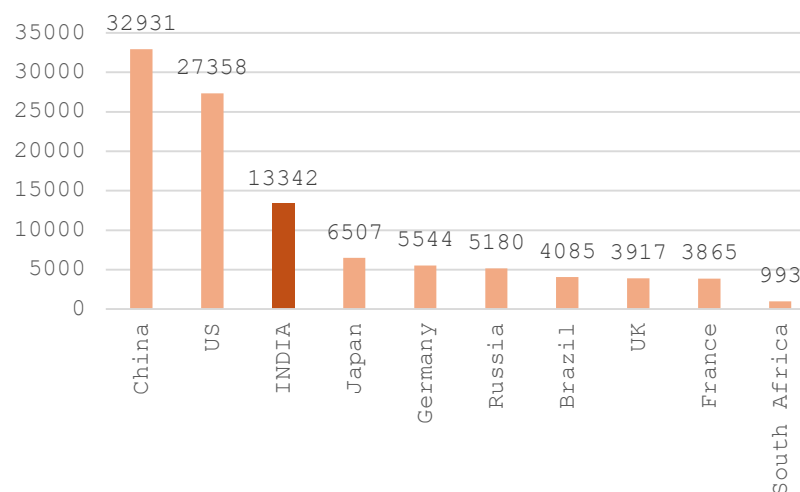
GDP current US\$bn in 2023



GDP PPP current international dollars in 1980 (except Russia in 1992 with its relative ranking as in that year)



GDP PPP current international dollars in 2023



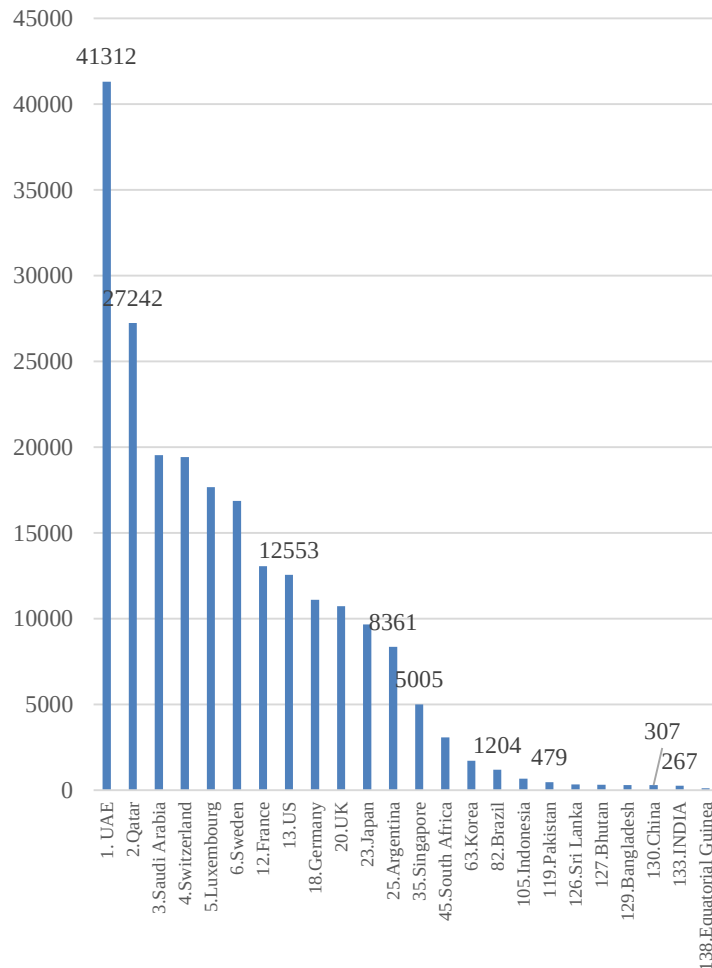
SOME CONCEPTUAL QUESTIONS:

- How do we know India is the fastest growing G20 economy?
- India is amongst the largest economies in the world; does this also mean India is amongst the richest economies in the world?
- Is India currently the fifth largest economy in the world or the third largest?
- What is meant by the vision of India as a US\$40 trillion economy by 2025?
- Should we focus on value of goods and services produced within the country or by the Indians anywhere in the world?
- Is income during the year or the stock of wealth at a given point of time important?
- Should I value this year's output at this year's prices? What if there are too many people chasing too few goods this year?
- What if this year's budget double the taxes and cuts subsidies by half to balance the budget? Will it affect the measurement of country's output and income?
- In a year, the stock of capital suffers wear and tear; though this is not a cash expenditure, does it affect the value of national output and income?

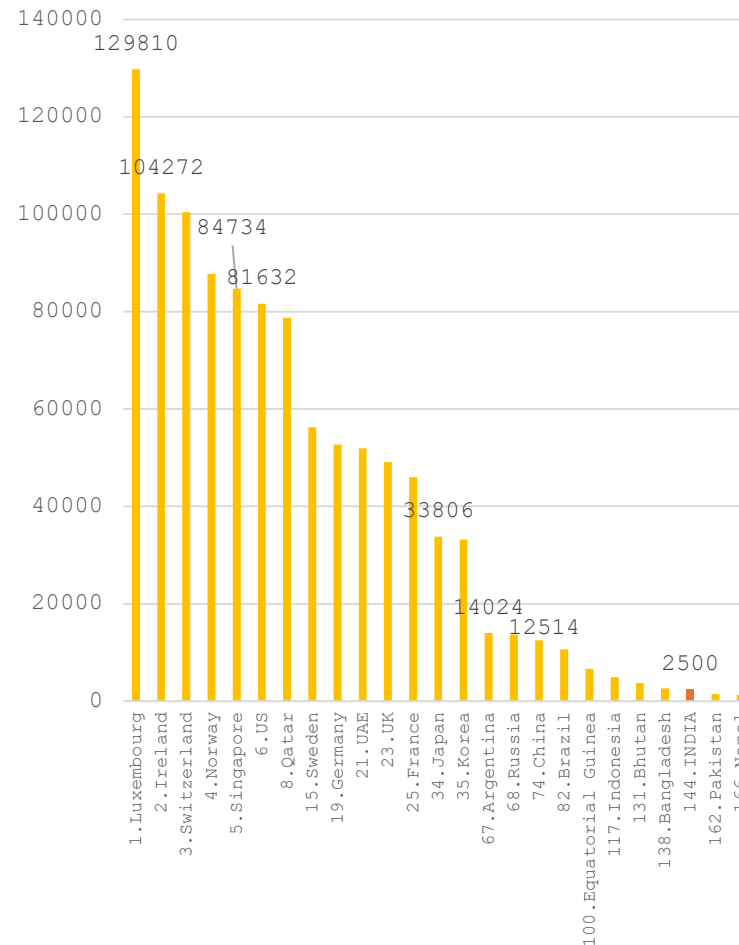
The metrics of Gross Domestic Product (GDP) and per capita GDP

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Per capita GDP, 1980 current prices (US\$ bn)
with global ranks (India: 133)



Per capita GDP, current prices
(US\$ bn)
with global ranks (India: 144)



It is a headline measure for the size of an economy; but well-being is better captured by per capita GDP that is calculated as GDP/population

GDP is the aggregate market value of all final goods and services produced within a country within a given period

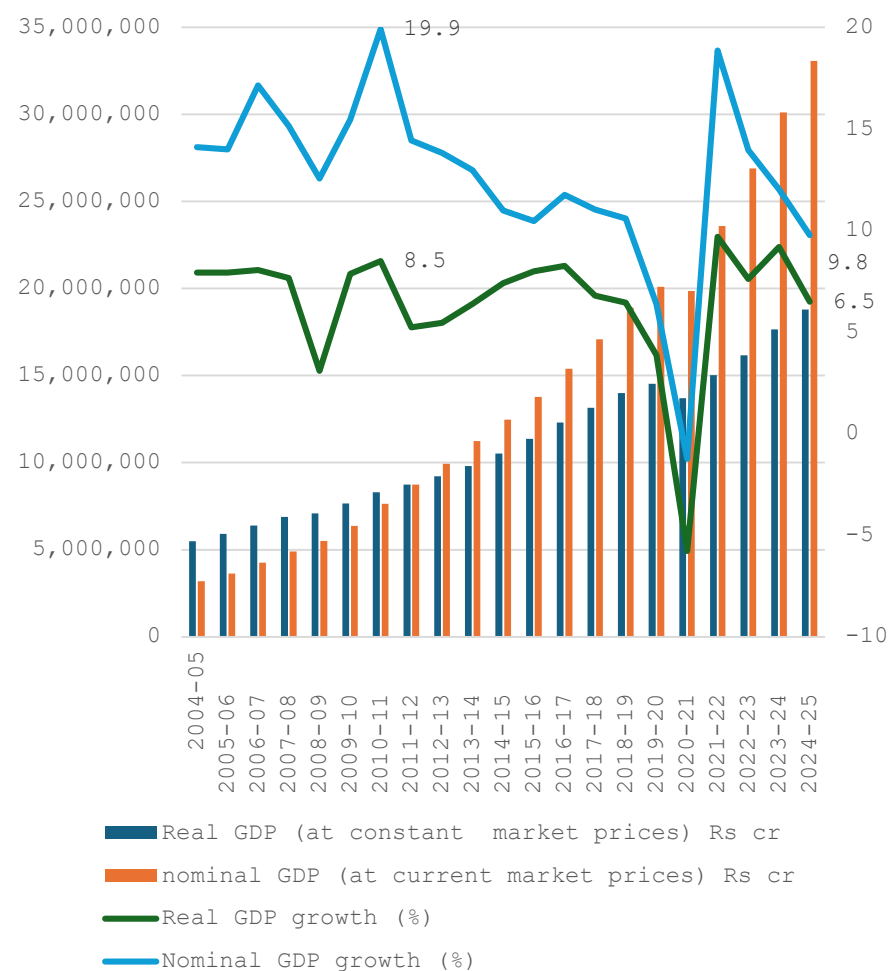
- Aggregate because we are talking of country as a whole and not output of a farmer or a production of firm
- Value because output must be measured in a common unit to aggregate diverse items such as bushels of corn, number of shirts, megawatts of electricity, number of hours of teaching. This can best be valued in national currency or a currency that can be compared across countries.
- Only final goods and services need be counted because also counting intermediate goods and services will lead to double counting. One can, alternatively, add value added at each stage of the product in making.
- Within a country and not outside is important if we want to know aggregate output of what is produced in a country
- With a given period is important because GDP is a flow measure, not a stock measure. Typically, one computes GDP within a year (calendar or financial) or within a quarter (three monthly periods).
- Remember, both goods and services are consumed by individuals and provide utility and so they both are counted in GDP
- GDP minus depreciation gives us Net Domestic Product (NDP)
- GDP plus net factor income from abroad gives us Gross National Product (GNP)
- GDP market prices minus net indirect taxes (i.e indirect taxes-subsidies) gives us GDP factor cost

Q: Is GDP reflective of development, prosperity, welfare and happiness?

Nominal (current market prices) vs Real (constant prices) GDP

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Nominal & Real GDP in India
(Right scale)

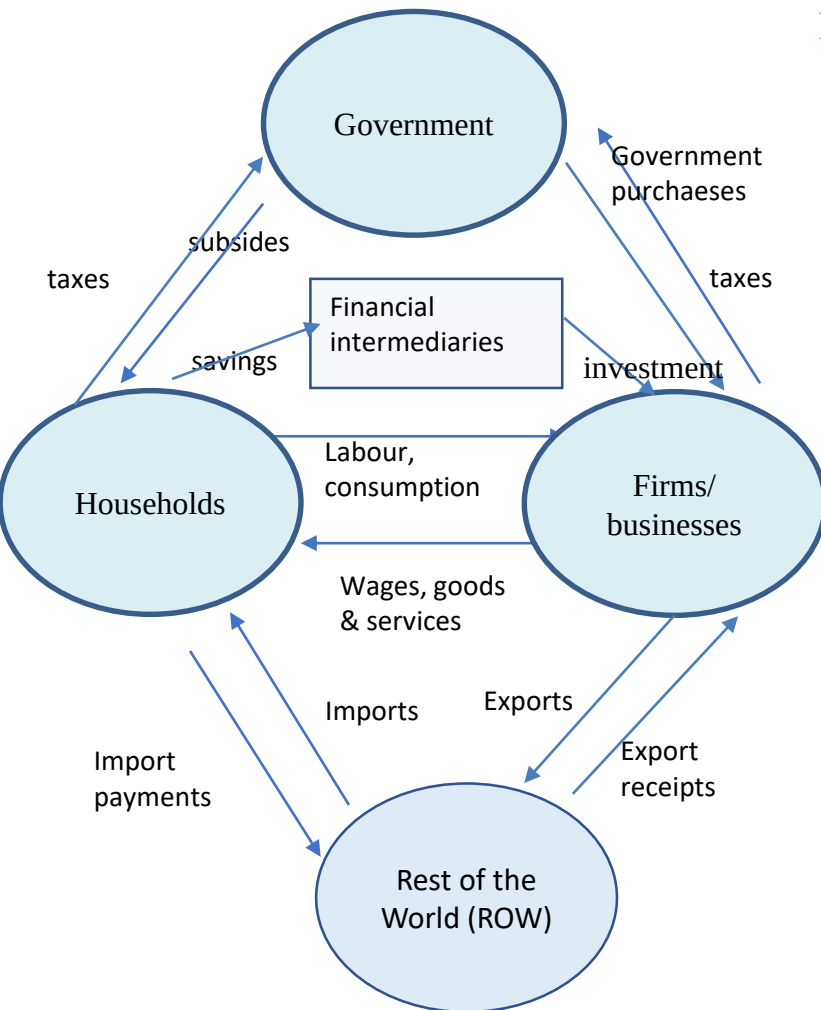


To compare GDP over a time period, it is important to measure output at constant rather than current prices; i.e. use real GDP rather than nominal GDP to compare GDP over a period of time

- Aggregate because we are talking of country as a whole and not output of a farmer or a production of firm
- Value because output must be measured in a common unit to aggregate diverse items such as bushels of corn, number of shirts, megawatts of electricity, number of hours of teaching. This can best be valued in national currency or a currency that can be compared across countries.
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Three Broad Approaches to Calculating GDP

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PRODUCTION=INCOME=EXPENDITURE in an economy

- **PRODUCTION APPROACH** (Output of all goods & services in aggregate)

GDP can be calculated as sum of value added of all producers in a country (resident sectors). Alternatively, you can also determine the aggregate output and then subtract the value of all intermediate goods and services used in the production of the final good. Note that for any firm, industry and unincorporated producer, the difference between his output and its intermediate consumption is its gross value added.

- **INCOME APPROACH** (Aggregate income of all factors of production):

All the output produced in an economy gets distributed as some form of income to the factors of production. So, GDP can also be computed as sum of labour income that includes wages, salaries or in-kind compensations to employees (including employee and employer's social contributions), profits (gross operating surplus) to entrepreneurs or rents from land and property and mixed income (typically in an unincorporated enterprise) besides taxes on production and imports less subsidies. The income-side approach shows how GDP is distributed.

- **EXPENDITURE APPROACH** ($Y=C+I+G+X-M$):

How do we know the market value of all final goods & services produced in an economy? It is the price at which these goods and services are bought and sold. So, if we add up all spending in an economy on final goods & services, we can also compute GDP. These spending may be by individual households, firms or governments or by non-residents on products of the country net of what residents spend on products of other countries. Note that only households, NPISH and government have final consumption and firms have intermediate consumption but do undertake gross capital formation (I).

What is not included in GDP

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EXCLUSION OF USED GOODS AND PAPER TRANSACTIONS

GDP is concerned only with new, or current, production. Old output is not counted in current GDP because it was already counted when it was produced.

GDP does not count transactions in which money or goods changes hands but in which no new goods and services are produced.

Specific exclusion from GDP includes the following:

- **Intermediate Goods:** Goods and services used to produce other goods or services (e.g., the flour a baker buys to make bread) are excluded to avoid double-counting.
- **Re-sales/ Used Goods/ Second hand purchases:** The sale of items that were produced in a previous period, such as used cars or homes, is not included in current GDP.
- **Non-Market Activities:** Unpaid activities like household work (housewives doing household chores, teaching kids, cooking food), volunteer work, and caregiving are not counted because they are difficult to measure and value.
- **Illegal or Underground Economy:** While some authorities estimate these activities, they are not formally included in GDP calculations due to their unrecorded nature.
- **Transfer Payments:** Payments made by the government for which no good or service is received in return, such as social security or unemployment benefits, are not included.
- **Foreign-Owned Production:** Profits earned by foreign companies within a country and then sent back to their home country are not part of the domestic GDP.
- **Unproductive or Wasteful Expenditures:** The value of goods or services that do not create wealth, such as the cost of preventing or responding to crime, are often included in GDP, but they represent costs rather than production.

Conceptual Clarity on Key National Account Aggregates

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Key Relations to help understand Gross Domestic Product (GDP) & related concepts:

- **Gross (-) depreciation (consumption of fixed capital) = Net Goods:**
 $\text{GDP} - \text{depreciation} = \text{NDP}$
- **Domestic + Net factor income from abroad = National:**
 $\text{GDP} + \text{net factor income from abroad} = \text{GNP}$ [NOTE: National Income = Net National Product at Factor Cost]
- **factor cost + net indirect taxes (i.e. indirect taxes – subsidies) = market price:**
 $\text{GDP at market price} - \text{indirect taxes} + \text{subsidies} = \text{GDP at factor cost}$
- **GDP at current prices (nominal GDP) / GDP deflator = GDP at constant prices (real GDP):**
 $\text{GDP deflator} = \text{nominal GDP} / \text{Real GDP}$ (real GDP is adjusted for price increase over the base year) .
- **% annual change in deflator will give GDP deflator based inflation rate:**
Headline Inflation rate is measured from Consumer Price Index (CPI). Though GDP deflator-based inflation rate may capture price increase for all goods & services produced in an economy, it is not used as a headline, i.e. main, measure as it is less accurate in terms of deflators capturing services prices unreliably and also because data comes in with a lag
- **Aggregate value of all products should conceptually equal all income or all expenditure in an economy**
 $\text{Gross Domestic Product (GDP)} = \text{Gross Domestic Income} = \text{Gross domestic Expenditure}$

Indian economy witnessing robust growth so far; but some signs hazy signs of slowdown on horizon

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Table III.1: Real GDP Growth

(Y-o-y growth, per cent) ^

Item	2024-25	2025-26	Weighted Contribution*		2024-25				2025-26			
	(FRE)	(SAE)	2024-25	2025-26	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4#
Private final consumption expenditure (PFCE)	5.8	7.7	3.3	4.3	6.1	5.6	6.0	5.6	9.2	8.0	8.7	5.1
Government final consumption expenditure (GFCE)	6.5	6.6	0.7	0.7	7.5	7.0	7.6	3.6	5.8	6.6	4.7	9.4
Gross fixed capital formation (GFCF)	6.4	7.1	2.1	2.3	6.5	6.6	6.3	6.2	4.9	8.4	7.8	7.2
Exports	6.6	6.5	1.5	1.5	7.3	3.1	10.5	5.4	6.6	10.2	5.6	4.0
Imports	5.3	6.4	1.3	1.5	8.3	4.6	2.9	5.5	7.4	5.9	8.6	3.6
GDP at market prices	7.1	7.6	7.1	7.6	7.5	6.6	7.4	7.0	6.7	8.4	7.8	7.3

Note: *: Component-wise contributions to growth do not add up to GDP growth because change in stocks, valuables and discrepancies are not included.

^: Unless specified otherwise, all discussion on growth rates in this chapter are on year-on-year (y-o-y) basis.

FRE: First revised estimates; SAE: Second advance estimates. #: implicit.

Sources: National statistics office (NSO); and RBI staff estimates.

- Indian Economy had slowed to 6.5% growth last year due largely to slowdown in Q2. Growth rebounded steadily thereafter to a 7% plus trajectory but is expected to slowdown again going forward.
- Real gross domestic product (GDP) surprised on the up and grew by 7.8% in Q1FY26 (i.e. Q1 of fiscal year 2025-26).
- Private final consumption expenditure – the mainstay of aggregate demand – rebounded and grew by 7.0% y-o-y, contributing 4.0 percentage points (ppt) to overall GDP growth in Q1:2025-26.
- The strong growth in private consumption in Q1 indicates revival in the discretionary spending of household.

Services sector growth driving India's GDP growth

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Table III.9: Real Gross Value Added Growth

(Y-o-y, per cent)

Sector	2023-24	2024-25	Weighted Contribution		2023-24				2024-25				2025-26
	(FRE)	(PE)	2022-23	2023-24	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1
Agriculture, forestry and fishing	2.7	4.6	0.4	0.7	5.7	3.7	1.5	0.9	1.5	4.1	6.6	5.4	3.7
Industry	11.0	4.5	2.4	1.0	6.6	15.3	12.6	9.9	7.8	2.1	3.5	4.7	5.8
Mining and quarrying	3.2	2.7	0.1	-0.2	4.1	4.1	4.7	0.8	6.6	-0.4	1.3	2.5	-3.1
Manufacturing	12.3	4.5	2.1	5.4	7.3	17.0	14.0	11.3	7.6	2.2	3.6	4.8	7.7
Electricity, gas, water supply and other utilities	8.6	5.9	0.2	-0.5	4.1	11.7	10.1	8.8	10.2	3.0	5.1	5.4	0.5
Services	9.2	7.5	5.8	4.8	12.1	8.3	8.5	8.0	7.2	7.4	7.5	7.9	9.0
Construction	10.4	9.4	0.9	8.7	9.2	14.6	10.0	8.7	10.1	8.4	7.9	10.8	7.6
Trade, hotels, transport, communication	7.5	6.1	1.4	-7.3	11.0	5.4	8.0	6.2	5.4	6.1	6.7	6.0	8.6
Financial, real estate and professional services	10.3	7.2	2.4	-1.3	15.0	8.3	8.4	9.0	6.6	7.2	7.1	7.8	9.5
Public administration, defence and other services	8.8	8.9	1.1	0.8	9.3	8.9	8.4	8.7	9.0	8.9	8.9	8.7	9.8
GVA at basic prices	8.6	6.4	8.6	6.4	9.9	9.2	8.0	7.3	6.5	5.8	6.5	6.8	7.6

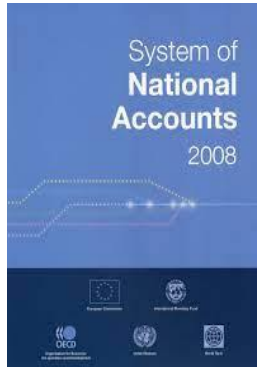
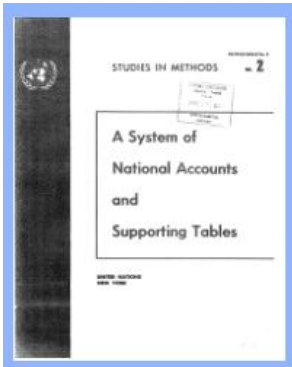
Note: FRE: First revised estimates; PE: Provisional estimates.

Sources: NSO; and RBI staff estimates.

- Aggregate supply – measured by real gross value added at basic prices – expanded by 7.6% in Q1FY26 (6.8% in the preceding quarter)
- This growth was a six-quarter high supported by a recovery in manufacturing and buoyancy in services. Manufacturing and all four major subsectors of services recorded strong growth and cumulatively contributed around 94.3% to the total GVA

System of National Accounts (SNA)

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SNA is the internationally agreed set of recommendations on how to compile measures of economic activity.

- The First SNA was published in 1953 after a UN Sub-Committee report largely authored by Richard Stone in 1947 laid a foundation for it.
- Since then, six revisions of SNA have been done (in 1960, 1964, 1968, 1993, 2008 & just now in 2025). SNA 2025 has tried to integrate digital economy by capturing intangible assets, AI & cloud computing, digital platforms, crypto assets & provides guidance on free digital services. It has also included natural capital accounting updating the SEEA.
- SNA 2008 is a 1260-page technical document or a sort of manual for guidance in preparation of national accounts by countries that like the 2008 version provides for a sequence of accounts (including some volume accounting), balance sheets, supply and use tables and deals with concepts, definitions, boundaries for production, consumption and assets. However, the 2025 SNA broadens the national accounts framework to better account for elements affecting well-being and sustainability, which are essential for informing various policy goals like Islamic finance, globalization, deglobalization
- Since the 1993 version, SNA is now being jointly produced by the UN, IMF, World Bank, OECD and EU. It introduced SEEA satellite account.
- SNA helps in generation of internationally comparable GDP and other national accounting metrics. It has links to monetary statistics, flow of funds, balance of payment accounts and also has a set of satellite accounts.

System of
**National
Accounts**
2025



New York, 2025

External Sector & Balance of Payment (BoP) Accounting

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- What is the balance of payments (BoP) & why it is important
- Why do nations keep Foreign Exchange (FX) reserves
- Why does international trade take place and what are the gains from it?
- Should we trade in widgets or in dollars?
- What is Purchasing Power Parity?
- Under what conditions, exchange rate depreciation can help improve trade balance?
- What is External Debt & Net International Investment Position (Net IIP or NIIP)?

What is Balance of Payments (BOP) & Why do we need to compile & understand it?

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- National economies today are not autarky. Therefore, we need financial recording of one country dealing with another. International economics, therefore, looks at the Balance of Payments account (also known as balance of international payments and abbreviated BOP or BoP). It records for a country the difference between all money flowing into the country in a particular period of time (e.g., a quarter or a year) and the outflow of money to the rest of the world.
- These financial transactions may be made by individuals, firms and government bodies in the form of receipts and payments arising out of trade of goods or services, or just current transfers by one entity to another or in the form of cross-border financial asset flows.
- More precisely, the BoP systematically summarizes all economic transactions in financial terms between the residents and the non-residents of a country or of an economic area during a given period.

Has India faced a severe Balance of Payments (BoP) crisis requiring bailout?

Case-I: The 1964-66 Balance of Payments (BoP) crisis:

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Strong-willed FM TTK talking to PM Nehru

- The War with China (Oct-Nov 1962) and with Pakistan (Aug-Sept 1965), plus two successive droughts in 1965 & 1966 drained India's foreign exchange reserves. Foreign aid was conditional on devaluation and liberalization but the Congress Govt resisted it. In June 1962, an internal study of RBI ruled out devaluation on the ground that quantity restrictions will prevent exports to rise.
- On 9th June 1964, Lal Bhadur Shastri had become India's PM after Nehru died of Cardiac arrest on 27th May 1964. Thereafter, in Sept 7-11, 1964 World Bank President George Woods offered Indian FM, T.T. Krishnamachari, aid conditional on devaluation. He was offended and vowed not to comply. By 17th Feb 1965, India's FX reserves had dwindled to the lowest since Independence and was on verge of breaching the floor set by donors. India made a last-minute transfer of confiscated gold to help evade the breach.
- June 1965, US terminates PL480 after the historic pitch by Paddock brothers to impose triage principle. Aid India consortium donors started to dictate India's economic policies. On 17th July 1965 T.T. Krishnamachari in a radio address again ruled out devaluation. In August 1966, the World Bank's Bell Report also recommended devaluation and trade reforms. In December 1965, TT Krishnamachari resigns as FM, which was seen as a signal that Lal Bahadur Shastri was willing to consider devaluation, but Shastri died in mysterious circumstances on 11th January 1966, the day after he signed Tashkent declaration following the Indo-Pak War.

Has India faced a severe Balance of Payments (BoP) crisis requiring bailout?

Case-I: The 1964-66 Balance of Payments (BoP) crisis:

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Indira Gandhi bit the bullet and in one swoop of a highly unpopular move she devalued the Indian rupee by 57% from Rs 4.76 to Rs 7.50 to a dollar,

- On 24th January 1966, Indira Gandhi was sworn in as PM after she defeated Morarji Desai. In May 1966, India's FX reserves dropped by 65% in 3-weeks time and devaluation, import liberalization & Export promotion was back on agenda. On 5th June 1966, Indira Gandhi compelled veteran socialists in her Cabinet to back the decision to devalue. India devalued rupee by 57% on June 6, 1966 after India in return was promised US\$ 900 million a year in aid for over 3-years.
- Within 2-months, Commerce Minister Manubhai Shah, a staunch devaluation opponent, brought back interventionist schemes such as import replenishment scheme (REP) licenses that was launched in Aug. 1961 (to replenish the inputs for exports) and exports subsidies. Within a year, World Bank notes that devaluation of rupee was a failure. Consequent to the reluctance for reforms, the first tranche from donors was substantially delayed and the second tranche was cut down to US\$600 mn. In 1968, Aid India consortium decided to give India just US\$642 mn instead of remaining US\$1255 mn due to socialist policies coming in way of reforms.

Has India faced a serve Balance of Payments (BoP) crisis requiring bailout?

Case-II: The 1991 Balance of Payments (BoP) crisis

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- The origin of the crisis lay in fiscal profligacy in 1980s that laid the foundation for the twin deficit problem, which ultimately came to fore with the Gulf War (Iraq's invasion of Kuwait) that saw the average monthly price of crude oil to more than double from US\$17/b in July to US\$36/b in October. This resulted in a large BoP disequilibrium.
- Chandra Shekhar served as the 8th PM of India during 10th Nov. 1990 & 21st June 1991 forming a minority govt with breakaway faction from Janta Dal with outside support of the Congress. , But his government could not pass the budget presented in end-February 1991 and with heightened political uncertainty and India being on brink of default and Moody downgraded India to sub-investment grade. On 21st May 1991, Rajiv Gandhi was assassinated, deepening the political turmoil.
- Chandra Shekhar govt decided to pledge gold with BoE. The decision was implemented after P.V. Narasimha Rao became the PM. He also decided for a two-step devaluation of the rupee

How & Why do we compile BOP & Why do we need to understand it?

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BALANCE OF PAYMENTS MANUAL



INTERNATIONAL MONETARY FUND

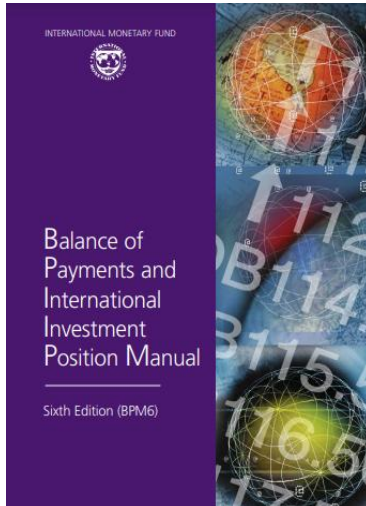
INTERNATIONAL MONETARY FUND

Statistics Department



Integrated Balance of Payments and International
Investment Position Manual, Seventh Edition (BPM7)

White Cover (Pre-Edited) Version



- We need to compile and BOP to understand open economy macroeconomic dynamics and especially to know about how the cross-border transactions are changing the country's indebtedness to the rest of the World (ROW). This is particularly important to understand the likelihood of a financial crisis, more specifically country defaulting on its external debt and causing currency crisis.
- As per BPM5, the balance of payments consists of two components: the current account and the capital account
- As per BPM6, the balance of payments consists of three components: the current account, the capital account and the financial accounts. Financial accounts create asset and liability changes and affect International Investment Position (IIP) of the country.
- BPM 7 released earlier this year has integrated BoP & IIP manuals

Balance of Payments (BOP)

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- Main objective of economic policy is to achieve high economic growth, full employment, price stability and BOP equilibrium – to grow consistently at full production capacity (or full employment).
- BOP is a recording of flows of currency/monetary assets coming in and out of a nation, somewhat like double-entry book-keeping but in terms of flows and not stocks.
- It analytically shows the extent of dependence of the country on the financial saving of RoW for its development.
 - $Y = C + I + (X - M)$ $(Y - C) = I + (X - M)$ $S = I + (X - M)$ $S - I = (X - M) = CAB$
 - so, if saving=investment, then current account balance (CAB)=0, if $I > S$, CAB is in deficit ; if $I < S$, CAB is in surplus

Usefulness of Balance of Payments (BOP)

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- Usefulness of CAB - indicates whether economy is generating enough savings to finance domestic investment. But it is not necessary that a current account deficit (CAD) is bad and a CAB surplus is good. In fact, it makes sense for emerging market economies (EMEs) to run CAD now and grow faster to achieve convergence in per capita incomes with advanced economies (AEs) and run surpluses later to pay back debts. This intergenerational transfers benefit the future generation as well.
- Deficit in BoP, if large and for long, raises sustainability issues - affecting growth, employment and price stability. It requires corrective actions.
- BOP has great importance in the determination of monetary and fiscal policies. Deficits have a strong impact on inflation through its effects on exchange rate and its expectations. Depreciation may lead to expectations of further weakening and a downward spiral, discouraging capital inflows, encouraging outflows, speculative attack on currency. One can get imported inflation.
- Today, BoP statistics are not only used in determination of economic policy but are widely employed by business enterprises e.g. tourism receipts are widely used by like hotel and transport firms in their strategic planning. Trade statistics are used by commercial enterprises to determine their size in the market for certain goods or ascertain potential trade opportunities.

What is Current Account?

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Current account shows the flows of goods, services, primary income and secondary income between resident and non-resident units.

- **a.1 - Goods (BOP item G)**

- BOP item *Goods* covers *general merchandise*, *non-monetary gold* and, since the implementation of the BPM6, *net export of goods under merchanting*.
- The most important component, *General merchandise*, includes all movable goods whose ownership is transferred from a resident to a non-resident and vice versa.
- When calculating the balance of payments, both exports and imports of *Goods* should be valued free-on-board (f.o.b.). When a cost-insurance-freight (c.i.f.) valuation is provided, freight and insurance components have to be estimated separately and eliminated from the trade figures to arrive at a f.o.b. valuation. These components are then recorded in the services account.

- **a.2 - Services (BOP item S = sum of items SA +SB + SC + SD+SE+SF+SG+SH+SI+SJ+SK +SL)**

- *Services* are the second major category of the current account. In the production of data on International Trade in Services the references are the IMF's [BPM6](#) and the United Nations' [Manual on Statistics of International Trade in Services 2010](#).
- Services' items *Manufacturing services on physical inputs owned by others* (SA) and Maintenance and repair services n.i.e (SB) were newly introduced in services account under BPM6

What types of services get captured in Current Account?

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- *Transport (SC)* covers services provided by all modes of transport -sea, air, and other, which includes space, rail, road, inland waterway and pipeline - that are performed by residents of one economy for those of another. The different types of services offered include transport of passengers, transport of freight, other supporting and auxiliary services (e.g., storage and warehousing), postal and courier services and electricity transmission.
- The debit side of the item *Travel (SD)* consists of goods and services which are acquired by residents who stay abroad for less than one year. The credit side includes purchases of the same type made by foreign travellers on the national territory. This item contains two main categories of travel: business travel and personal travel (leisure, study, health-related purposes, etc.). Note that international transport costs of the traveler to destination are recorded under the heading "transport", but all movements within the country, including cruises, are entered under "travel".
- Other categories of services are:
 - Construction services (SE),
 - Insurance services (SF),
 - Financial services (SG), which include explicitly charged and other financial services, and financial intermediation services indirectly measures (FISIM),
 - Charges for the use of intellectual property n.i.e. (SH),
 - Telecommunications, computer and information services (SI),
 - Other business services (SJ) which include research and development services, professional and management consulting services, and technical, trade-related and other business services,
 - Personal, cultural and recreational services (SK),
 - Government goods and services n.i.e (SL).

What are Current, Capital & Financial Account in BPM6?

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- **Capital Account:** It covers all transactions that involve:
 - (a) the receipt or payment of capital transfers (debt forgiveness, nonlife insurance claims, investment grants, one-off guarantees and other debt assumption, capital taxes and other capital transfers) and
 - (b) the acquisition/disposal of non-produced, non-financial assets, which includes transactions associated with tangible assets (e.g., land and subsoil assets) and transactions associated with intangible assets (e.g., patents, copyrights, trademarks, franchises, etc.)
- **Financial Account:** The Financial account covers all transactions associated with changes of ownership in the foreign financial assets and liabilities of an economy. The financial account is broken down into five basic functional categories:
 - (a) Direct investment (divided by instrument into equity and investment fund shares, reinvestment of earnings and debt instruments),
 - (b) Portfolio investment (divided by instrument into equity and investment fund shares, reinvestment of earnings for investment fund shares and debt securities),
 - (c) Financial derivatives and employee stock options,
 - (d) Other investment (divided by instrument into other equity, currency and deposits, loans, insurance, pension schemes and other standardized guarantee schemes, trade credits and advances, other accounts receivable/payable and special drawing rights) and
 - (e) Official reserve assets (divided by instrument into monetary gold, special drawing rights, reserve position in the International Monetary Fund and other reserve assets).

FOREIGN INVESTMENT FLOWS

22

No. 35: Foreign Investment Inflows

(US \$ Million)

Item	2024-25	2024-25	2025-26 (P)	2025	2026 (P)	
		Apr.-Mar.	Apr.-Mar.	Mar.	Feb.	Mar.
	1	2	3	4	5	6
1.1 Net Foreign Direct Investment (1.1.1-1.1.2)	959	959	7653	-502	4437	1574
1.1.1 Direct Investment to India (1.1.1.1-1.1.1.2)	29130	29130	40946	3388	7245	3905
1.1.1.1 Gross Inflows/Gross Investments	80615	80615	94527	5879	8981	6230
1.1.1.1.1 Equity	50993	50993	62282	3240	5667	3576
1.1.1.1.1.1 Government	2208	2208	1870	307	51	65
1.1.1.1.1.2 RBI	34686	34686	43192	2440	4391	2475
1.1.1.1.1.3 Acquisition of shares	13124	13124	13785	405	916	726
1.1.1.1.1.4 Equity capital of unincorporated bodies	975	975	3436	88	310	310
1.1.1.1.2 Reinvested earnings	22759	22759	25563	2055	2308	2308
1.1.1.1.3 Other capital	6863	6863	6681	584	1006	346
1.1.1.2 Repatriation/Disinvestment	51486	51486	53580	2491	1735	2325
1.1.1.2.1 Equity	49525	49525	51184	2400	1504	2197
1.1.1.2.2 Other capital	1960	1960	2396	92	231	127
1.1.2 Foreign Direct Investment by India (1.1.2.1+1.1.2.2+1.1.2.3-1.1.2.4)	28171	28171	33293	3889	2808	2331
1.1.2.1 Equity capital	16945	16945	20633	2408	1702	1512
1.1.2.2 Reinvested Earnings	6846	6846	7717	571	643	643
1.1.2.3 Other Capital	7955	7955	8432	1233	695	845
1.1.2.4 Repatriation/Disinvestment	3575	3575	3489	322	232	670
1.2 Net Portfolio Investment (1.2.1+1.2.2+1.2.3-1.2.4)	3564	3564	-16669	4043	2913	-13343
1.2.1 GDRs/ADRs	0	0	0	0	0	0
1.2.2 FPIs	3283	3283	-15500	3997	3074	-13095
1.2.3 Offshore funds and others	0	0	0	0	0	0
1.2.4 Portfolio investment by India	-281	-281	1170	-45	161	247
1. Foreign Investment Inflows	4523	4523	-9016	3541	7351	-11769

P: Provisional

What is the difference between Foreign Portfolio Investment (FPI) & Foreign Direct Investment (FDI) flows?

- **FPIs are entities which bring in investments in securities (equity/ debt/ other financial assets) in a country on behalf of investors in another country.** As per SEBI guidelines FPI can register as Category I if they are from FATF jurisdictions and as Category II if they are from non-FATF jurisdictions. FPI holdings can include stocks, ADRs, GDRs, bonds, mutual funds, and exchange traded funds (ETFs). FPI consists of passive ownership; investors have no control or direct ownership of property or a stake in a company/ venture.
- **FDI are equity flows that are classified as such if the investments exceed 10% of paid-up-capital of a listed firm (OECD definition adopted globally) and can have stake in the company/ venture. All foreign equity investments in non-listed space are treated as FDI.** These are typically made by Private Equity (PE) funds in stocks that are not publicly traded on exchanges. They typically use a range of strategies such as leveraged buyouts (LBOs), venture capital (VCs), growth, real estate private equity such as in REITS, investment private equity such as in InvITs, mezzanine capital, distressed PE, secondaries and fund of funds.

What is Primary Income in the Current Account?

23

a.3 - Primary income (BOP item IN1)

Primary income covers three types of transactions between residents and non-residents.

- *Compensation of employees* records wages, salaries and other benefits, in cash or in kind, earned by individuals for work performed for economic units whose place of residence is different from their own (border workers, seasonal workers, employees of international organisations, etc.). BOP item *Compensation of employees* records money paid to non-resident workers or received from non-resident employers.
- *Investment income* is income derived from ownership of external financial assets and liabilities and payable by residents of one economy to residents of another economy. In line with the related financial account, *Investment income* is classified in *Direct investment*, *Portfolio investment*, and *Other investment and reserve assets income*. It includes interest, dividends, remittances of branch profits, and direct investor's shares of the retained earnings of direct investment enterprises; income on equity and investment fund shares, as well as on debt securities from portfolio investment; income from interest, withdrawals from income of quasi corporations and income attributable to policyholders in insurance, pension schemes and standardized guarantee schemes.
- *Other primary income* includes rent, taxes and subsidies on products and production.

What is Secondary Income in the Current Account?

24

a.4 - Secondary income (BOP item IN2)

- It is a counterpart entry, required by the double-entry system used in BOP compilation, that offsets the provision of a non-financial, or financial, item by a resident to a nonresident (or vice versa) without a counterpart return of an item of economic value. *Secondary income* consists of all transfers, which are not capital (see below). Current transfers are broken down, according to the sector of the compiling economy, into two subcomponents: general government and other sectors.
 - General government transfers are broken down into:
 - (a) Current taxes on income, wealth, etc.,
 - (b) Social contributions,
 - (c) Social benefits,
 - (d) Current international cooperation, and
 - (e) Miscellaneous current transfers.
 - Other sectors' transfers are broken down into:
 - (a) Current taxes on income, wealth, etc.,
 - (b) Social contributions,
 - (c) Social benefits,
 - (d) Net nonlife insurance premiums,
 - (e) Nonlife insurance claims,
 - (f) Miscellaneous current transfers, which includes personal transfers between resident and non-resident households, including workers' remittances.

India's Balance of Payments: Recent Trends

25

Table 1: Major Items of India's Balance of Payments

(US\$ billion)												
	January-March 2025 PR			January-March 2026 P			2024-25 PR			2025-26 P		
	Credit	Debit	Net	Credit	Debit	Net	Credit	Debit	Net	Credit	Debit	Net
A. Current Account	265.1	251.4	13.7	280.5	273.4	7.1	1018.6	1041.6	-22.9	1077.8	1103.0	-25.2
1. Goods	116.4	175.8	-59.3	113.1	196.6	-83.4	442.1	729.0	-286.9	446.1	783.4	-337.3
of which:												
POL	14.1	44.3	-30.2	12.3	38.6	-26.3	63.4	185.8	-122.4	53.8	173.9	-120.1
2. Services	102.0	48.7	53.3	111.1	50.7	60.4	387.6	198.7	188.8	421.3	204.7	216.6
3. Primary Income	11.9	23.8	-11.9	12.0	23.2	-11.1	53.4	101.7	-48.3	55.0	103.2	-48.2
4. Secondary Income	34.7	3.2	31.5	44.3	3.0	41.3	135.6	12.1	123.5	155.3	11.7	143.6
B. Capital Account and Financial Account	255.9	270.3	-14.4	477.9	486.3	-8.4	1156.2	1134.7	21.5	1640.0	1614.6	25.4
of which:												
1. Direct Investment	18.5	18.1	0.4	22.5	18.3	4.2	84.2	83.2	1.0	98.3	91.4	6.9
2. Portfolio Investment	126.0	131.8	-5.9	126.2	138.3	-12.0	639.3	635.8	3.6	593.7	610.1	-16.4
3. Other Investments	106.3	98.9	7.4	320.4	304.1	16.2	370.4	336.0	34.3	885.3	849.6	35.7
of which:												
NRI Deposits	26.3	23.5	2.8	28.8	25.5	3.3	104.5	88.4	16.2	101.8	87.4	14.4
ECBs to India	15.8	8.3	7.5	10.0	6.4	3.6	48.0	29.5	18.5	35.7	21.5	14.2
4. Reserve Assets [Increase (-)/Decrease (+)]	0.0	8.8	-8.8	0.0	7.2	-7.2	37.7	32.6	5.0	35.3	11.7	23.6
C. Errors & Omissions (-) (A+B)	0.8	0.0	0.8	1.3	0.0	1.3	1.4	0.0	1.4	0.0	0.1	-0.1

PR: Partially Revised; and P: Preliminary.

Note: Total of sub-components may not tally with aggregate due to rounding off.

- India's current account deficit stood at US\$ 25.2 billion (0.6 per cent of GDP) in 2025-26 as compared to US\$ 22.9 billion (0.6 per cent of GDP) during 2024-25 .
- Net invisibles receipts³ at US\$ 312.0 billion were higher in 2025-26 than US\$ 264.0 billion a year ago, primarily on account of net services receipts and net personal transfers.
- Net FDI inflows increased to US\$ 6.9 billion in 2025-26 from US\$ 1.0 billion in 2024-25.
- FPIs recorded net outflows of US\$ 16.4 billion in 2025-26 as against net inflows of US\$ 3.6 billion a year ago.
- In 2025-26, foreign exchange reserves depleted by US\$ 23.6 billion (on a BoP basis) as compared with a depletion of US\$ 5.0 billion a year ago.

India's Net International Investment Position (NIIP)

26

No. 42: India's International Investment Position

(US\$ Million)

Item	As on Financial Year/Quarter End							
	2024-25		2024		2025			
			Jun.		Mar.		Jun.	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
	1	2	3	4	5	6	7	8
1. Direct investment Abroad/in India	270441	556903	246653	552829	270441	556903	278867	571227
1.1 Equity Capital*	173559	521931	156635	520605	173559	521931	179580	535378
1.2 Other Capital	96882	34972	90018	32224	96882	34972	99287	35849
2. Portfolio investment	15426	272042	12410	277347	15426	272042	16305	272544
2.1 Equity	10391	141938	10665	160898	10391	141938	13111	147392
2.2 Debt	5034	130104	1745	116449	5034	130104	3193	125152
3. Other investment	186700	641155	140909	588623	186700	641155	195426	657723
3.1 Trade credit	33422	131164	32822	125907	33422	131164	33782	131887
3.2 Loan	25891	250109	20803	224491	25891	250109	24464	259789
3.3 Currency and Deposits	79332	167598	57747	160628	79332	167598	82528	171749
3.4 Other Assets/Liabilities	48055	92285	29537	77597	48055	92285	54651	94298
4. Reserves	668326		651997		668326		698118	
5. Total Assets/ Liabilities	1140893	1470099	1051969	1418799	1140893	1470099	1188715	1501494
6. Net IIP (Assets - Liabilities)	-329206		-366830		-329206		-312779	

Note: * Equity capital includes share of investment funds and reinvested earnings.

- India's NIIP is negative, implying claims of non-residents on Indian residents exceed the claims of latter on the former.
- Net claims of non-residents on India increased by US\$ 6.7 billion during Q1:2024-25 to US\$ 368.3 billion in June 2024.
- Inward direct investment was the largest contributor to the rise in foreign liabilities during April-June 2024 followed by currency and deposits, loans and trade credit.
- Reserve assets accounted for one-fourth of the rise in Indian residents' overseas financial assets during the quarter; currency and deposits, loans and direct investments were other major factors.
- Reserve assets accounted for 62 per cent of India's international financial assets in June 2024

India's External Debt Manageable

27

Table 5: India's Key External Debt Indicators

(Per cent, unless indicated otherwise)

End-March	External Debt (US\$ billion)	Ratio of External Debt to GDP	Debt Service Ratio	Ratio of Foreign Exchange Reserves to Total Debt	Ratio of Concessional Debt to Total Debt	Ratio of Short-term Debt (original maturity) to Foreign Exchange Reserves	Ratio of Short-term Debt (original maturity) to Total Debt
1	2	3	4	5	6	7	8
1991	83.8	28.3	35.3	7.0	45.9	146.5	10.2
1996	93.7	26.6	26.2	23.1	44.7	23.2	5.4
2001	101.3	22.1	16.6	41.7	35.4	8.6	3.6
2006	139.1	17.1	10.1#	109.0	28.4	12.9	14.0
2007	172.4	17.7	4.7	115.6	23.0	14.1	16.3
2008	224.4	18.3	4.8	138.0	19.7	14.8	20.4
2009	224.5	20.7	4.4	112.2	18.7	17.2	19.3
2010	260.9	18.5	5.8	106.9	16.8	18.8	20.1
2011	317.9	18.6	4.4	95.9	14.9	21.3	20.4
2012	360.8	21.1	6.0	81.6	13.3	26.6	21.7
2013	409.4	22.4	5.9	71.3	11.1	33.1	23.6
2014	446.2	23.9	5.9	68.2	10.4	30.1	20.5
2015	474.7	23.8	7.6	72.0	8.8	25.0	18.0
2016	484.8	23.4	8.8	74.3	9.0	23.2	17.2
2017	471.0	19.8	8.3	78.5	9.4	23.8	18.7
2018	529.3	20.1	7.5	80.2	9.1	24.1	19.3
2019	543.1	19.9	6.4	76.0	8.7	26.3	20.0
2020	558.3	20.9	6.5	85.6	8.8	22.4	19.1
2021	573.4	21.1	8.2	100.6	9.0	17.5	17.6
2022	618.8	19.9	5.2	98.1	8.3	20.0	19.7
2023 PR	624.0	19.0	5.3	92.7	8.2	22.2	20.6
2024 PR	668.9	18.9	6.7	96.6	7.4	19.7	19.1
End-June 2024 P	682.3	18.8	6.6	95.6	7.0	20.3	19.4

PR: Partially Revised, P: Provisional.

works out to 6.3 per cent with the exclusion of India Millennium Deposits (IMDs) repayments of US\$ 7.1 billion and pre-payment of external debt of US\$ 23.5 million.

- At end-June 2024, India's external debt was placed at US\$ 682.3 billion
- The external debt to GDP ratio was 18.8% at end-June 2024
- At end-June 2024, long-term debt (with original maturity of above one year) was placed at US\$ 549.6 billion
- The share of short-term debt (with original maturity of up to one year) in total external debt increased to 19.4% at end-June 2024, up from 19.1% at end-March 2024.
- The ratio of short-term debt (original maturity) to foreign exchange reserves increased to 20.3% at end-June 2024 from 19.7% at end-March 2024).
- Short-term debt on residual maturity basis (i.e., debt obligations that include long-term debt by original maturity falling due over the next 12-months and short-term debt by original maturity) constituted 44.0% of total external debt at end-June 2024, up from 43.4% at end-March 2024 and stood at 46.0% of foreign exchange reserves, up from 44.9% at end-March 2024.

Why Do Nations Keep Foreign Exchange Reserves?

28

2. Foreign Exchange Reserves*

Item	As on May 29, 2026		Variation over					
			Week		End-March 2026		Year	
	₹ Cr.	US\$ Mn.	₹ Cr.	US\$ Mn.	₹ Cr.	US\$ Mn.	₹ Cr.	US\$ Mn.
	1	2	3	4	5	6	7	8
1 Total Reserves	6483678	682321	-39538	938	-70183	-8786	567076	-9163
1.1 Foreign Currency Assets #	5189565	546148	-9056	3116	-47802	-6135	190769	-38067
1.2 Gold	1069944	112600	-28945	-2186	-24366	-2795	348593	28295
1.3 SDRs	178137	18747	-1339	0	1548	126	19252	178
1.4 Reserve Position in the IMF	46032	4826	-199	8	437	18	8462	431

* Difference, if any, is due to rounding off.

Excludes (a) SDR holdings of the Reserve Bank, as they are included under the SDR holdings; (b) investment in bonds issued by IIFC (UK); (c) amounts lent under SAARC and ACU currency swap arrangements; and (d) RBI's contribution to funding of Nexus Global Payments.

- To cope with sudden stops and reversals of capital flows in a period where CAD widens and becomes unsustainable
- To intervene in the FX markets to stabilize exchange rate
- To impart confidence in the national economy so that trade and capital flows can take place without worries

Qs to think: FX reserves once again crossed US\$700 bn mark on 17th Oct & edged towards the peak FX reserves o US\$704.9 bn held on 27th Sept 2024. How large FX reserves should India hold? Are there costs of holding reserves? What about loss of monetary control or costs of sterilization?

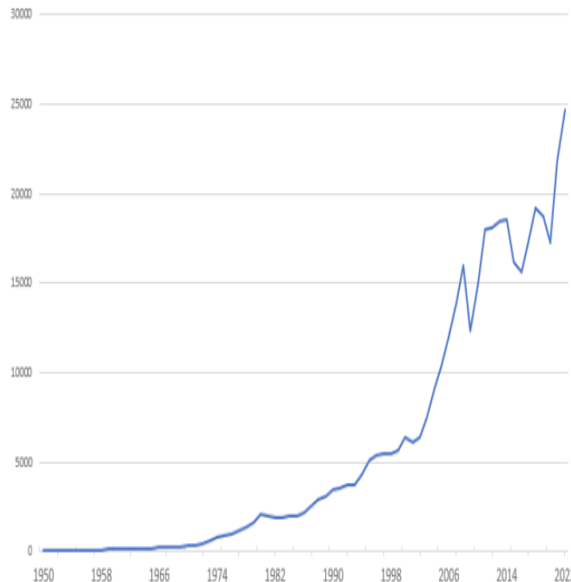
Why does International Trade Take Place?

29

Hours of work necessary to
produce one unit

Produce Country	Cloth	Wine
England	100	120
Portugal	90	80

Evolution of World Trade, 1950-2022
Values, Billion USD



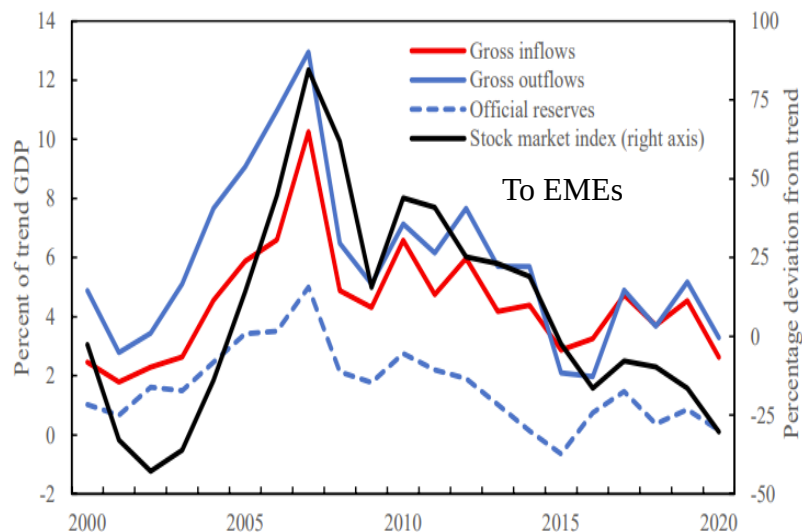
- **Ricardian Theory:** As countries differ in their technology to produce goods and services, they specialize in the product they have comparative advantage in even if they do not have an absolute advantage in that product. In the LHS example, Portugal has absolute advantage in producing both cloth & wine but if labour is immobile, then both countries can gain by producing as per the comparative advantage. England can use 220 hrs of labour to produce 2.2 units of cloth (i.e. $220/100$) and Portugal can use 170 hrs of labour to produce 2.125 units of wine (i.e. $170/80$). Both countries are better off if England trades a unit of cloth for in between $5/6$ to $9/8$ units of Portuguese wine.
- **Heckscher-Ohlin Theory:** As countries differ in their resource endowments skills and abilities of a country's workforce, the natural resources available within its borders (minerals, farmland, etc.), and the sophistication of its capital stock (machinery, infrastructure, communications systems), the basis of trade can be comparative advantage in resource endowments. Countries in which capital is relatively plentiful and labour relatively scarce will tend to export capital-intensive products and import labour-intensive products, while countries in which labour is relatively plentiful and capital relatively scarce will tend to export labour-intensive products and import capital-intensive products. It is relative endowment (i.e. capital per worker) that matters.
- **Strategic Trade Theory:** Following Brander and Spencer, literature has proliferated using microeconomic models and game theory to describe strategic interactions between firms in an international oligopoly (small number of firms) matter for trade and how national policies and government interventions play a key role affecting these strategic interaction giving advantage to firms in trade.

Trade in Widgets or Trade in Dollars?

30



Crisis on line one: Filipino traders react as Manila's stock market tumbles, October 28, 1997



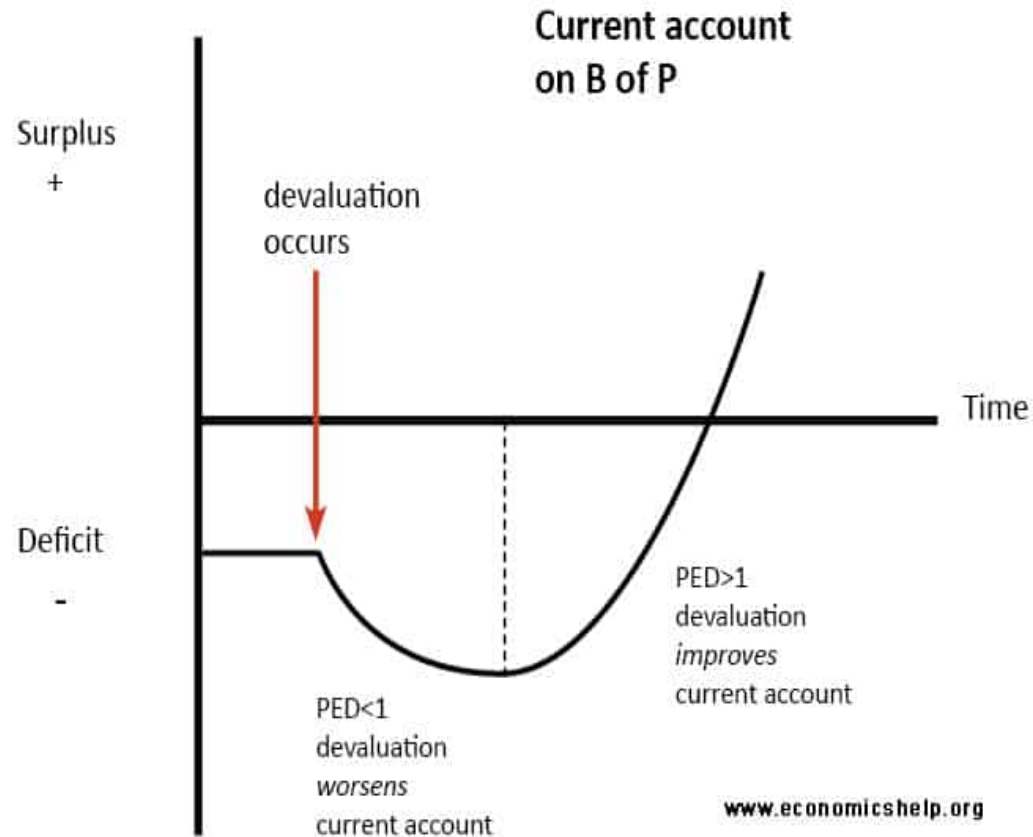
- The Asian financial crisis started amid banking fragilities in Thailand when on July 2, 1997, with its currency under speculative attack, Thailand abandoned the peg of Thai Baht with US dollar. An unprecedented contagion followed in East Asia with capital flight from the region and some other parts of the world
- In 1998, Prof. Jagdish Bhagwati wrote an article in *Foreign Affairs*, The Capital Myth: The Difference between Trade in Widgets (small mechanical gadgets as euphemism for merchandise trade, i.e. trade in goods,) and Trade in Dollars (i.e. trade in finance, i.e. cross-border capital flows).
- The article written in the backdrop of the Asian Financial Crisis (AFC) (1997-998) argued that trade in widgets (i.e. goods; widgets literally are small unnamed mechanical devices) has first order gains, while gains from trade in dollars (i.e. capital) are much smaller and of second order importance and carry sizable risks
- IMF was at that point was pushing for capital account convertibility to be pushed as a goal for its membership but was forced to backtrack in the face of evidence from the AFC that it could be risky and the arguments that gains from merchandise trade outstripped the gains from capital flows that carried large risks.
- However, trade in capital assets (financial/ capital flows) also have large gains arising from international risk sharing that allows consumption smoothing. However, they carry risks of financial crisis/ collapses that impose huge costs.

Marshall-Lerner Condition:

When should you devalue currency to improve trade balance?

31

J-curve effect



- for a currency devaluation to lead to an improvement (e.g. reduction in deficit) in the current account, the sum of price elasticity of exports and imports (in absolute value) must be greater than unity.
i.e. $PE_{XD} (\text{price elasticity of export demand}) + PE_{MD} (\text{price elasticity of import demand}) > 1$
e.g.: PE_{XD} is 0.3 & PE_{MD} is 0.6
then a devaluation of the currency should worsen the trade balance.
- Empirical evidence suggests the elasticity of demand for exports and imports tends to be inelastic in the short run, but more elastic in the long run. Therefore, a devaluation often worsens the current account in the short term but improves it in the long-term
e.g. long-run elasticities are as follows:
 PE_{XD} is 0.5 & PE_{MD} is 0.7 then a devaluation can then help improve trade balance in the long-run as J-curve effect takes place

How can we compress the wide Current Account Imbalances?

32

THE MONETARY APPROACH TO THE BALANCE OF PAYMENTS

Edited by
Jacob A. Frenkel and Harry G. Johnson

COLLECTED WORKS OF
HARRY G. JOHNSON



INCOME ABSORPTION APPROACH & EXPENDITURE REDUCING POLICIES

- The absorption approach to the balance of payments states that a country's balance of trade will only improve if the country's output of goods and services increases by more than its absorption, where the term 'absorption' means expenditure by domestic residents on goods and services. This approach was first put forward by Alexander (1952, 1959).

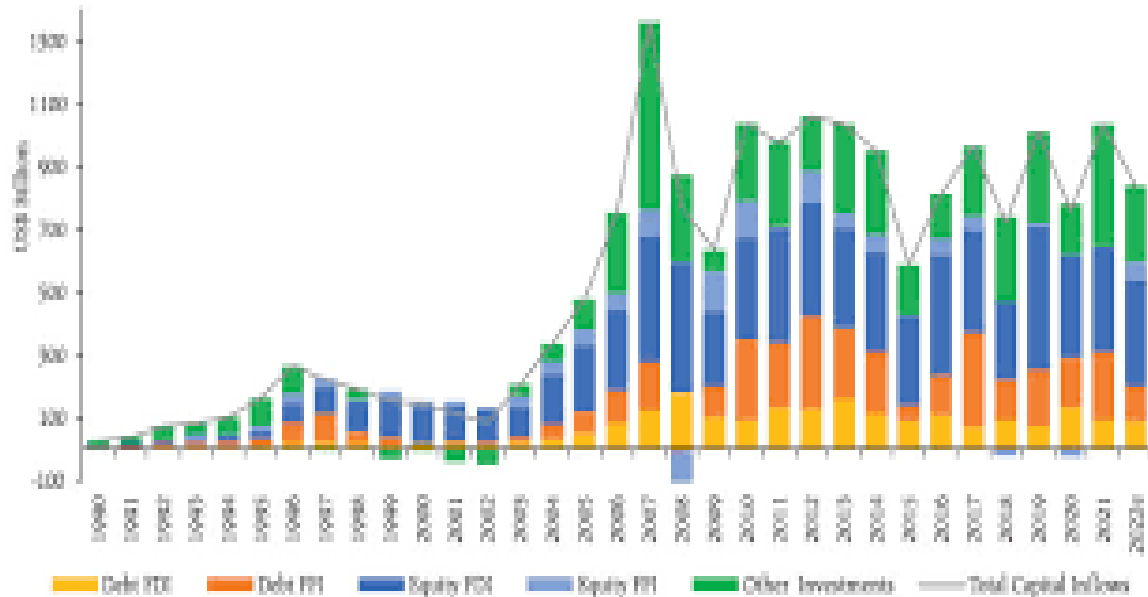
EXPENDITURE SWITCHING POLICIES

- Policies designed to change relative prices of exports and imports. E.g. (i) an exchange rate depreciation can make exports cheaper and imports costlier, (ii) import tariffs & export subsidies

What do we mean by Capital Flows?

33

Chart 2: Capital Flows to EMEs excluding China



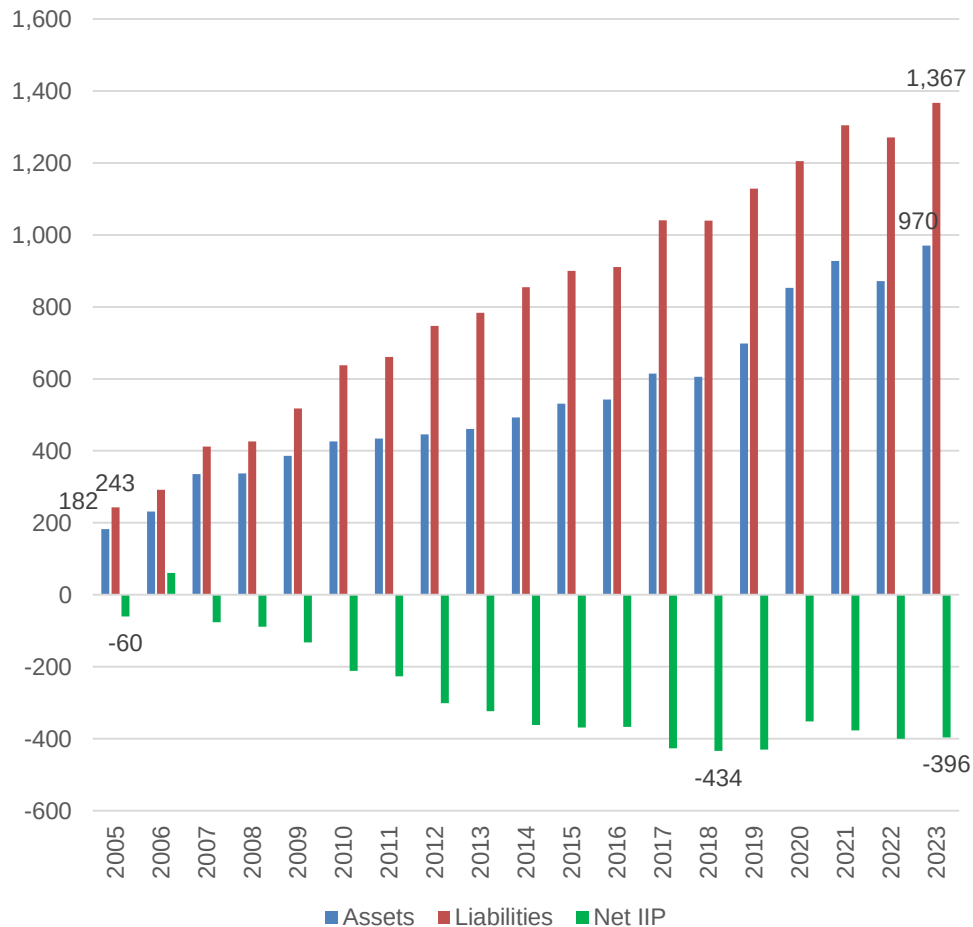
Source: Institute of International Finance and authors' estimates.

- The term is typically used in the context of cross-border capital flows
- Capital flows refer to the movement of financial flows. These flows may be initiated by individuals, firms, unincorporated businesses or governments. For a firm, they can be in a nature of funds flow for investment capital, capital spending on operations, or R&D.
- Capital inflows are net purchases of domestic assets by foreign residents, whereas capital outflows are net purchases of foreign assets by domestic residents.
- Items of capital flows include all items that enter into financial account of BoP (as per BPM6) or capital account (as per BPM5). These would include Direct Investment, Portfolio Investment, Loans, Banking Capital, etc.
- India in line with the OECD definition considers more than 10% foreign investment in a listed firm as FDI, as it is considered as a threshold for controlling stake. Any foreign investment in a non-listed firm is considered as FDI. Loans are predominantly in form of the External Commercial Borrowings (ECB). Banking capital substantially comes in the form of NRI deposits.

What do Capital Flows do the Nation's Indebtedness?

34

Net International Investment Position (NIIP) of India
(US\$ billion)



- The distinguishing feature of capital flows is that they create or extinguish assets and liabilities for those transacting in financial flows, which when aggregated change net international investment positions (NIIP) for a country.
- NIIP measures the gap between a nation's stock of foreign assets and its foreign liabilities, which can also be viewed as a foreigner's stock of that nation's assets. It provides a balance sheet position with the rest of the world at a given point in time.
- It is thus, a barometer of a nation's creditworthiness. A nation with a positive NIIP is a creditor nation, while a nation with a negative NIIP is a debtor nation.
- India's Net IIP stood at -362 bn (or 10.3% of GDP) as at end-March 2024 with international financial assets of US\$1028 bn and international financial liabilities of US\$1390 bn.
- FX reserve assets accounted for 63% on the asset side, with overseas direct investment being the other major component.
- On the liabilities side, stock of FDI was at US\$543bn, while stock of portfolio investment was at US\$284 bn. Loans (US\$222 bn) and trade credits (\$119 bn) were the other major components.

Components & Sources of Reserve Money

35

7. Reserve Money: Components and Sources

(₹ Crore)

Item	Outstanding as on		Variation over									
	2026		Fortnight^		Financial Year so far				Year-on-Year			
					2025-26		2026-27		2025		2026	
	Mar. 31	May 15	Amount	%	Amount	%	Amount	%	Amount	%	Amount	%
	1	2	3	4	5	6	7	8	9	10	11	12
Reserve Money	5107831	5212071	-13345	-0.3	107522	2.2	104240	2.0	251672	5.4	275306	5.6
1 Components (1.1+1.2+1.3)												
1.1 Currency in Circulation	4165573	4282635	28894	0.7	118083	3.2	117062	2.8	258393	7.2	440105	11.5
1.2 Bankers' deposits with RBI	810124	809829	-42569	-5.0	-2801	-0.3	-295	0.0	-24873	-2.5	-178858	-18.1
1.3 'Other' deposits with RBI	132134	119606	330	0.3	-7760	-6.8	-12527	-9.5	18152	20.8	14060	13.3
2 Sources (2.1+2.2+2.3+2.4+2.5)												
2.1 Net RBI Credit to Government	2079086	2249358	15963		238051		170271		636274		503201	
2.1.1 Net RBI Credit to Centre	2046623	2223087	4502		234336		176464		617494		513291	
2.2 RBI Credit to Banks and Commercial Sector	-307103	-246104	9794		-128730		60999		-362378		1642	
2.2.1 RBI's Net Claims on Banks	-335350	-257359	12451		-109564		77991		-370083		9466	
2.3 Net foreign exchange assets of RBI	6360229	6412265	52143	0.8	150636	2.7	52035	0.8	443621	8.4	710681	12.5
2.4 Government's currency liabilities to the public	40818	41190			290	0.8	372	0.9	3290	9.8	4268	11.6
2.5 Net non-monetary liabilities of RBI	3065199	3244637	91377	2.9	152725	7.1	179438	5.9	469136	25.6	944485	41.1

Note: Data are provisional.

^: With respect to April 30, 2026.

- Reserve Money, also called the base money or high-powered money (H), is the monetary base on which multiple credit creation takes place
- Bank reserves (banker's deposits with RBI) are key to control money supply. By raising the reserve requirements (CRR), central bank slows down the process of money creation and such contractionary monetary policy imparts a downward pressure on the inflation rate
- Most central banks remunerate (pay interest) the reserves banks maintain with the central bank. RBI does not as it impinges upon monetary policy. However, unremunerated reserve requirements tantamount to a tax on deposits

Components & Sources of Money Supply

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6. Money Stock: Components and Sources

(₹ Crore)

Item	Outstanding as on		Variation over									
	2026		Fortnight^		Financial Year so far				Year-on-Year			
					2025-26		2026-27		2025		2026	
	Mar. 31	May 15	Amount	%	Amount	%	Amount	%	Amount	%	Amount	%
	1	2	3	4	5	6	7	8	9	10	11	12
M3	31453126	31023176	-140802	-0.5	419795	1.5	-429950	-1.4	2352993	9.3	3316792	12.0
1 Components (1.1+1.2+1.3+1.4)												
1.1 Currency with the Public	4065488	4200272	39159	0.9	113707	3.1	134785	3.3	256205	7.3	455814	12.2
1.2 Demand Deposits with Banks	3844879	3315263	-139547	-4.0	144789	5.1	-529616	-13.8	432705	17.0	330452	11.1
1.3 Time Deposits with Banks	23410625	23388034	-40743	-0.2	169058	0.8	-22591	-0.1	1645931	8.6	2516467	12.1
1.4 'Other' Deposits with Reserve Bank	132134	119606	330	0.3	-7760	-6.8	-12527	-9.5	18152	20.8	14060	13.3
2 Sources (2.1+2.2+2.3+2.4+2.5)												
2.1 Net Bank Credit to Government	9369275	9549273	61060	0.6	226304	2.7	179998	1.9	1121710	14.7	812144	9.3
2.1.1 Reserve Bank	2079086	2249358	15963		238051		170271		636274		503201	
2.1.2 Other Banks	7290189	7299915	45097	0.6	-11748	-0.2	9726	0.1	485436	7.5	308943	4.4
2.2 Bank Credit to Commercial Sector	22226641	22030292	-28200	-0.1	-33273	-0.2	-196348	-0.9	1669748	9.6	2995437	15.7
2.2.1 Reserve Bank	28247	11255	-2657		-19166		-16992		7705		-7824	
2.2.2 Other Banks	22198394	22019037	-25543	-0.1	-14107	-0.1	-179356	-0.8	1662043	9.6	3003261	15.8
2.3 Net Foreign Exchange Assets of Banking Sector	7126272	7178308	52143	0.7	150636	2.4	52035	0.7	714780	12.8	879144	14.0
2.4 Government's Currency Liabilities to the Public	40818	41190	132	0.3	290	0.8	372	0.9	3290	9.8	4268	11.6
2.5 Banking Sector's Net Non-Monetary Liabilities	7309880	7775887	225936	3.0	-75838	-1.2	466007	6.4	1156536	22.0	1374201	21.5
2.5.1 Net Non-Monetary Liabilities of RBI	3065199	3244637	91377	2.9	152725	7.1	179438	5.9	469136	25.6	944485	41.1

Note: Data include the impact of merger of a non-bank with a bank w.e.f. July 14, 2023.

^: With respect to April 30, 2026.

- Money is a highly liquid financial asset that serves the following functions: (i) unit of account, (ii) store of value and (iii) medium of exchange or as Keynes explained serves the following motives: (i) transactions motive, (ii) precautionary motive and (ii) speculative motive.
- Main components of money supply are currency with public and bank deposits. Currency with public minus cash with banks. Bank deposits are either demand deposits or time deposits. Demand deposits are current accounts, checkable portion of saving accounts and money market accounts. Time deposits are term/fixed deposits and the minimum balances for a saving deposits. RBI treats the average of the minimum balances maintained (in each account) in each of the months (during the half-year period) is treated as the amount representing the 'time liability' portion of the savings bank deposits, as interest is paid thereupon.
- Main sources of changes in money supply are changes in net bank credit to the government+ Changes in bank credit to the commercial sector+ changes in NFEA of the banking sector-banking sector's NNML

What are the Reserves RBI Keep apart from FX Reserves?

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RBI, like most central banks, maintain internal reserves for varied objectives. These risk provisions and revaluation accounts mitigate balance sheet risks in face of market volatility and unforeseen shocks. These are governed as part of its Economic Capital Framework (ECF) that takes into account value-at-risk and other metrics. What are these risk mitigating provisions?

- **Other Reserves:** These include **National Industrial Credit (Long Term Operations) Fund** and **National Housing Credit (Long Term Operations) Fund** used for development purposes for supporting DFIs, but now only token amount is credited.
- **Risk Provisions:** These include **Contingency Fund (CF)** and **Asset Development Fund (ADF)**. CF is provision to meet unforeseen contingencies, including depreciation in the value of securities, risks arising out of monetary/exchange rate policy operations, systemic risks and any risk arising on account of the special responsibilities enjoined upon the Reserve Bank. ADF provisions are made for investments in subsidiaries and associate institutions and to meet internal capital expenditure.
- **Revaluation Accounts:** They include: (i) **Currency and Gold Revaluation Account (CGRA)**, (ii) **Investment Revaluation Account - Foreign Securities (IRA-FS)**, (iii) **Investment Revaluation Account – Rupee Securities (IRA-RS)**, (iv) **Foreign Exchange Forward Contracts Valuation Account (FCVA)**. CGRA to deal with risks from currency and gold price fluctuations to FCA & Gold in FX reserves. Unrealised gains & losses from these fluctuations are booked here. IRA-FS is kept to transfer unrealised gains/ losses from MTM of foreign securities. IRA-RS is used to book unrealised gains/ losses on Rupee securities and oil bonds. FCVA is used to book unrealized gains/ losses from MTM outstanding forward contracts. Provisions are also made for surplus payable to central government and certain other payables.

In Nov. 2018 there were reports of GOI seeking transfer of Rs3.6 lakh cr (trillion) from RBI to GOI. Serious dispute and rift in RBI Central Board on that account. Indeed in 2018-19, RBI made a record surplus transfer of Rs1,76,051 crore after which the Bimal Jalan Committee recommended new ECF. For the accounting year 2023-24, the RBI transferred record Rs.2,10,874 crore, which was surpassed in 2024-25 with an all-time record transfer of Rs 2,68,590 crores.

What is Core Inflation & What is its Significance?

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Table II.2: Exclusion-based Measures of Inflation
(y-o-y, per cent)

Period	CPI excluding food and fuel (47.3)	CPI excluding food fuel petrol diesel (45.0)	CPI excluding food fuel petrol diesel gold silver (43.8)
Aug-24	3.3	3.5	3.0
Sep-24	3.5	3.8	3.2
Oct-24	3.8	4.0	3.3
Nov-24	3.7	3.9	3.3
Dec-24	3.6	3.9	3.3
Jan-25	3.6	3.9	3.2
Feb-25	4.1	4.3	3.4
Mar-25	4.1	4.3	3.3
Apr-25	4.2	4.4	3.5
May-25	4.2	4.3	3.4
Jun-25	4.4	4.6	3.5
Jul-25	4.1	4.2	3.2
Aug-25	4.2	4.3	3.1

Notes: 1. Figures in parentheses indicate weights in CPI.
2. Derived as a residual from headline CPI.

Sources: NSO; and RBI staff estimates.

Table II.3: Measures of Underlying Inflation: Trimmed Mean Measures and Weighted Median
(y-o-y, per cent)

Month	5% trimmed	10% trimmed	25% trimmed	Weighted Median
Aug-24	3.9	3.7	3.3	3.0
Sep-24	4.4	3.9	3.5	3.0
Oct-24	4.6	4.1	3.5	3.0
Nov-24	4.6	4.1	3.5	3.2
Dec-24	4.5	4.1	3.5	3.1
Jan-25	4.1	3.7	3.4	2.9
Feb-25	3.7	3.5	3.3	2.9
Mar-25	3.6	3.4	3.2	2.9
Apr-25	3.3	3.4	3.3	3.0
May-25	3.1	3.3	3.3	3.2
Jun-25	2.8	3.1	3.1	3.1
Jul-25	2.7	3.0	3.1	3.0
Aug-25	2.9	2.9	2.9	2.9

Sources: NSO; and RBI staff estimates.

- **CORE INFLATION** is a measure of inflation that excludes volatile prices. The rationale for excluding volatile prices is to exclude transitory price changes so as to better capture underlying long-run trend in the price level. It is commonly believed that core inflation responds more and faster to monetary policy changes than the headline inflation. Two different methods of calculating core inflation are:

- EXCLUSION-BASED MEASURES** of core Inflation directly excludes items that are frequently subject to volatile prices, like food and energy (Table II.2)
- TRIMMED MEAN MEASURES** of core inflation arrives at the average rate of inflation after trimming away a certain percentage of the distribution of price changes at both ends of that distribution (Table II.3)

Union budget (Receipts)

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	2020	2021	2022	2023	2024	2025P	2026BE	2026E	Change (%)				
									2023/ 2022	2024/ 2023	2025P/ 2024	2026BE/ 2025P	2026E/ 2025P
Receipts													
1. Revenue receipts (2d + 3)	16,841	16,339	21,699	23,832	27,290	30,364	34,204	33,115	10	15	11	13	9
2. Gross tax revenues (a + b)	20,101	20,271	27,093	30,542	34,655	37,952	42,702	40,175	13	13	10	13	6
2.a. Direct taxes	10,554	9,523	14,158	16,723	19,694	22,356	25,351	23,622	18	18	14	13	6
2.a.1. Corporation tax	5,569	4,577	7,120	8,258	9,111	9,868	10,820	10,706	16	10	8	10	9
2.a.2. Income tax (incl. other taxes)	4,985	4,946	7,038	8,464	10,584	12,488	14,531	12,915	20	25	18	16	3
2.b. Indirect taxes	9,547	10,748	12,935	13,819	14,961	15,596	17,351	16,553	7	8	4	11	6
2.b.1. Goods and Services Tax	5,988	5,488	6,981	8,491	9,572	10,265	11,780	10,799	22	13	7	15	5
2.b.1.1. CGST	4,941	4,563	5,912	7,185	8,206	9,090	10,109	9,964	22	14	11	11	10
2.b.1.2. IGST	91	73	21	47	(49)	(330)	—	—	124				
2.b.1.3. Compensation cess	956	852	1,048	1,259	1,414	1,505	1,671	836	20	12	6	11	(44)
2.b.2. Customs duty	1,093	1,348	1,997	2,134	2,331	2,329	2,400	2,254	7	9	(0)	3	(3)
2.b.2.1. Basic duties	906	1,065	1,460	1,676	1,775	1,493	1,585	1,463	15	6	(16)	6	(2)
2.b.2.2. Others	187	282	537	457	557	836	815	791	(15)	22	50	(3)	(5)
2.b.3. Excise duty	2,406	3,897	3,946	3,190	3,054	3,003	3,170	3,500	(19)	(4)	(2)	6	17
2.b.4. Service tax	60	16	10	4	4	(0)	1	1	(57)	(1)	(104)	(725)	(725)
2.c Transfers to states, UTs, etc.	6,532	6,008	9,045	9,564	11,383	12,963	14,328	13,472	6	19	14	11	4
2.d Net tax revenues (2 - 2.c)	13,569	14,263	18,048	20,978	23,273	24,989	28,374	26,703	16	11	7	14	7
3. Non-tax revenues	3,272	2,076	3,651	2,854	4,018	5,375	5,830	6,412	(22)	41	34	8	19
3.a. RBI's transfer of surplus	1,476	600	991	303	874	2,104	2,104	2,686	(69)	188	141	-	28
3.b. Telecommunications	698	455	858	648	907	1,234	824	824	(24)	40	36	(33)	(33)
3.c. Others	1,097	1,021	1,802	1,903	2,237	2,038	2,902	2,902	6	18	(9)	42	42
4. Non-debt capital receipts (a + b)	686	576	394	722	598	418	760	760	83	(17)	(30)	82	82
4.a Recovery of loans	183	197	247	262	266	246	290	290	6	2	(8)	18	18
4.b Other receipts (incl. disinvestments)	503	379	146	460	331	172	470	470	214	(28)	(48)	173	173
5. Total receipts (1 + 4)	17,527	16,915	22,093	24,554	27,888	30,782	34,964	33,875	11	14	10	14	10

Union budget (Expenditure)

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	2020	2021	2022	2023	2024	2025P	2026BE	2026E	Change (%)				
									2023/ 2022	2024/ 2023	2025P/ 2024	2026BE/ 2025P	2026E/ 2025P
Expenditure													
6. Revenue expenditure	23,506	30,835	32,009	34,531	34,943	36,035	39,443	38,928	8	1	3	9	8
6.a. Interest payments	6,121	6,799	8,055	9,285	10,639	11,163	12,763	12,763	15	15	5	14	14
6.b. Subsidies	2,283	7,077	4,461	5,310	4,123	3,880	3,834	3,834	19	(22)	(6)	(1)	(1)
6.b.1. Food	1,087	5,413	2,890	2,728	2,118	1,999	2,034	2,034	(6)	(22)	(6)	2	2
6.b.2. Fertilizer	811	1,279	1,538	2,513	1,883	1,737	1,679	1,679	63	(25)	(8)	(3)	(3)
6.b.3. Oil	385	385	34	68	122	145	121	121	99	80	18	(16)	(16)
6.c. Pay, allowances and pensions	5,366	6,711	5,899	6,564	6,857	7,598	7,825	7,825	11	4	11	3	3
6.c.1.a. Pay and allowances	3,526	4,626	3,910	4,148	4,474	4,847	5,059	5,059	6	8	8	4	4
6.c.1.b. Pensions	1,840	2,085	1,989	2,416	2,383	2,751	2,766	2,766	21	(1)	15	1	1
6.d. Agriculture and farmers' welfare	942	1,083	1,145	999	1,083	1,299	1,272	1,272	(13)	8	20	(2)	(2)
6.e. Education	873	840	803	972	1,232	1,107	1,286	1,286	21	27	(10)	16	16
6.f. Health and family welfare	607	740	787	703	783	856	923	923	(11)	11	9	8	8
6.g. Rural development	1,221	1,964	1,604	1,768	1,619	1,767	1,878	1,878	10	(8)	9	6	6
6.h. Others	6,092	5,622	9,255	8,931	8,606	8,364	9,661	9,147	(3)	(4)	(3)	16	9
7. Capital expenditure	3,357	4,263	5,929	7,400	9,492	10,520	11,211	10,536	25	28	11	7	0
7. a. Defence	1,160	1,399	1,448	1,509	1,646	1,706	1,924	1,924	4	9	4	13	13
7. b. Railways	678	1,093	1,173	1,593	2,426	2,519	2,520	2,520	36	52	4	0	0
7. c. Roads and highways	684	892	1,133	2,060	2,639	2,853	2,722	2,722	82	28	8	(5)	(5)
7. d. Loans for capex to states	—	118	142	812	1,096	1,513	1,500	1,500	472	35	38	(1)	(1)
7. e. Housing and urban affairs	193	103	259	269	264	316	376	376	4	(2)	20	19	19
7. f. Others	642	657	1,774	1,158	1,422	1,612	2,168	1,493	(35)	23	13	35	(7)
8. Total expenditure (6 + 7)	26,863	35,098	37,938	41,932	44,434	46,555	50,653	49,464	11	6	5	9	6

Union budget (Deficits)

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	2020	2021	2022	2023	2024	2025P	2026BE	2026E	Change (%)				
									2023/ 2022	2024/ 2023	2025P/ 2024	2026BE/ 2025P	2026E/ 2025P
Deficit													
Primary deficit (PD)	3,216	11,384	7,790	8,092	5,908	4,609	2,926	2,826	4	(27)	(22)	(37)	(39)
Revenue deficit (RD)	6,665	14,496	10,310	10,699	7,652	5,671	5,238	5,813	4	(28)	(26)	(8)	3
Gross fiscal deficit (GFD)	9,337	18,183	15,845	17,378	16,546	15,773	15,689	15,589	10	(5)	(5)	(1)	(1)
Gross market borrowing (dated securities)	7,041	12,601	9,684	14,210	15,014	14,005	14,820	14,720	47	6	(7)	6	5
Net market borrowing (dated securities)	4,681	10,329	7,041	11,083	11,778	11,627	11,538	11,438	57	6	(1)	(1)	(2)
Short-term borrowing (T-bills/WMA)	1,560	2,032	774	1,148	532	(1,119)	0	0					
Nominal GDP	201,036	198,541	235,974	268,905	301,230	330,682	356,979	355,698	14.0	12.0	9.8	8.0	7.6
PD/GDP (%)	1.6	5.7	3.3	3.0	2.0	1.4	0.8	0.8					
RD/GDP (%)	3.3	7.3	4.4	4.0	2.5	1.7	1.5	1.6					
GFD/GDP (%)	4.6	9.2	6.7	6.5	5.5	4.8	4.4	4.4					

Concept of budgetary deficits/ surpluses

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- **The gross fiscal deficit (GFD)** is the excess of total expenditure (including loans by the government) over revenue receipts (including external grants) and non-debt capital receipts (recovery of loans & other receipts such as those for disinvestments). Receipts from borrowings & other liabilities (such as National Small Savings Schemes) are financing item for GFD and are not subtracted from total expenditure for working out GFD but are included in budget as a balancing item). The net fiscal deficit is the gross fiscal deficit less net lending of the Central government [NOTE: In contrast to GOI practice, the IMF treats disinvestment as below the line item and does not count it towards capital receipts for working out GFD]
- **Revenue deficit (RD):** When the government's total revenue expenditure exceeds its total revenue receipts, that means the net income is less than the net expenditure.
- **Primary deficit (PD):** the fiscal deficit of the current year minus the interest payments needed to be paid. It shows the requirement of borrowing of the government and excludes any kind of interest. While fiscal deficit deals with the government's total borrowings including the interest payment, primary deficit deals with the government's borrowings excluding the interest payment.

Aggregate fiscal position of the State governments & UTs with legislatures

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Major Deficit Indicators of States & UTs with legislatures

(₹ lakh crore)									
Item	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24 (BE)\$	2023-24 (RE)	2023-24 (PA)	2024-25 (BE)
1	2	3	4	5	6	7	8	9	10
Gross Fiscal Deficit	4.6	5.3	8.1	6.6	7.2	9.5	10.4	8.7	10.4
(Per cent of GDP)	(2.4)	(2.6)	(4.1)	(2.8)	(2.7)	(3.2)	(3.5)	(2.9)	(3.2)
Revenue Deficit	0.2	1.2	3.7	1.0	0.6	0.4	1.4	0.7	0.8
(Per cent of GDP)	(0.1)	(0.6)	(1.9)	(0.4)	(0.2)	(0.1)	(0.5)	(0.2)	(0.2)
Primary Deficit	1.4	1.7	4.2	2.3	2.6	4.3	5.2	4.0	4.8
(Per cent of GDP)	(0.8)	(0.9)	(2.1)	(1.0)	(1.0)	(1.5)	(1.8)	(1.4)	(1.5)

BE: Budget Estimates. RE: Revised Estimates. PA: Provisional Accounts. \$: Based on latest GDP.

Notes: GDP at current market prices is based on the National Statistical Office (NSO)'s National Accounts 2011-12 series.

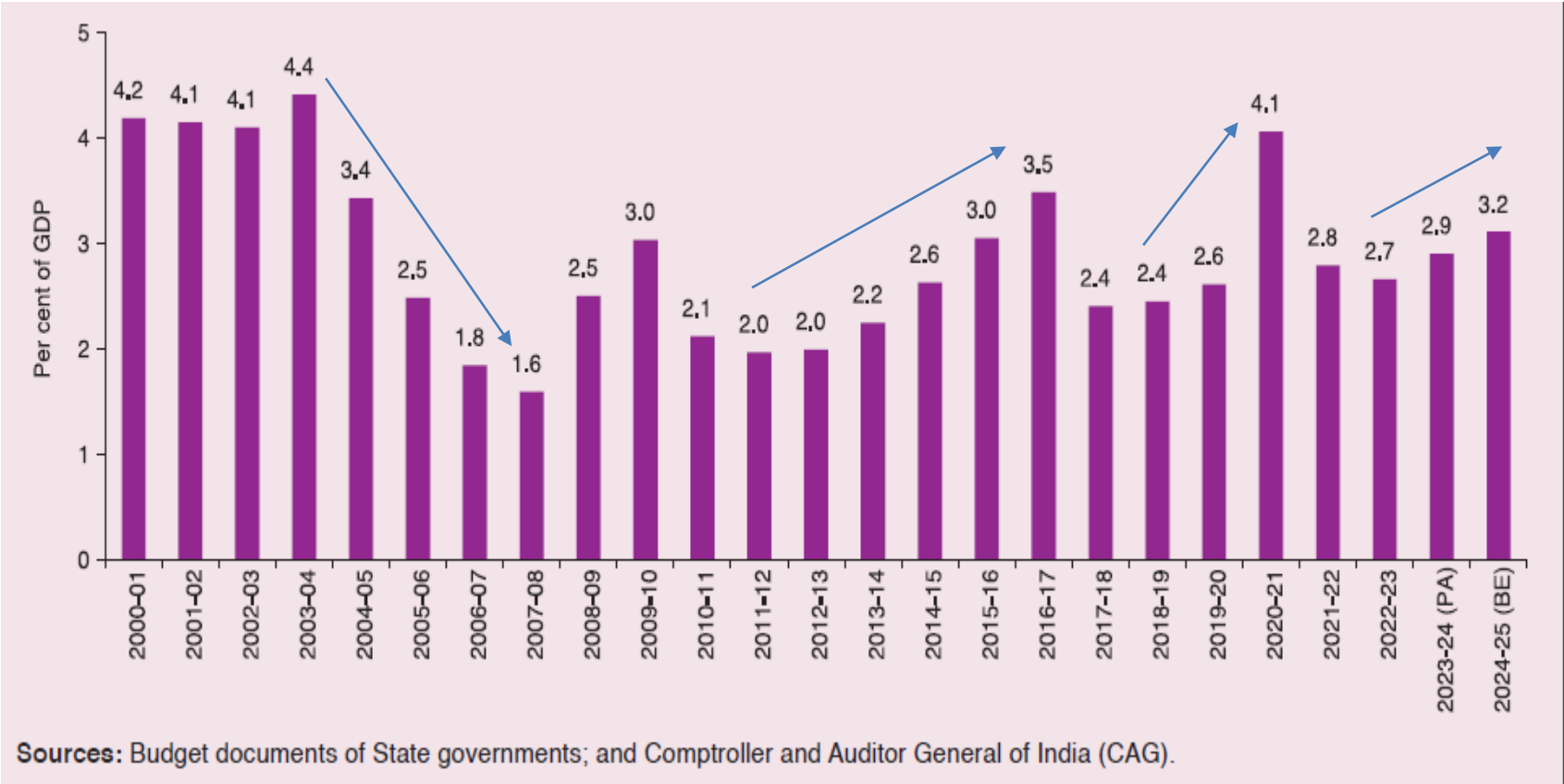
Sources: Budget documents of State governments; and Comptroller and Auditor General of India (CAG).

- In 2023-24, States contained their GFD at 2.9% of GDP, within the FRL limit of 3%
- The 2.9% GFD/GDP in FY24 was below the 3.2% BE but was higher than 2.7% GFD/GDP for FY23.
- The budgeted GFD/GDP for states at 3.2% for FY25 is the same as the previous year (BE for FY24).
- States' revenue deficits have remained stable at 0.2% of GDP I FY23, FY24 (PA) & FY25 BE
- However, primary deficit for the states in FY24 has widened to 1.4% of GDP from 1.0% in FY23 and yet to return to pre-Covid levels

Aggregate fiscal position of the State governments & UTs with legislatures

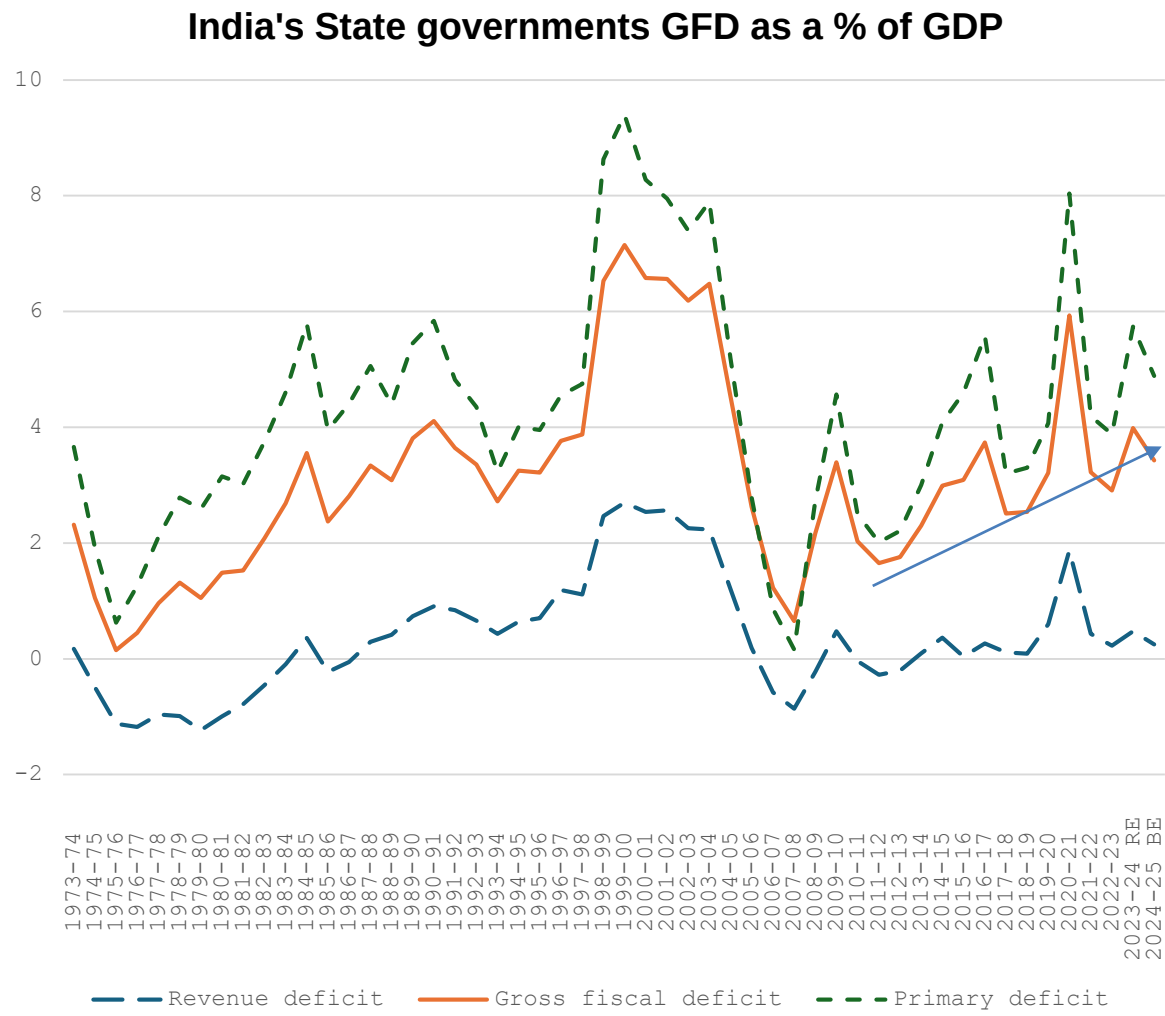
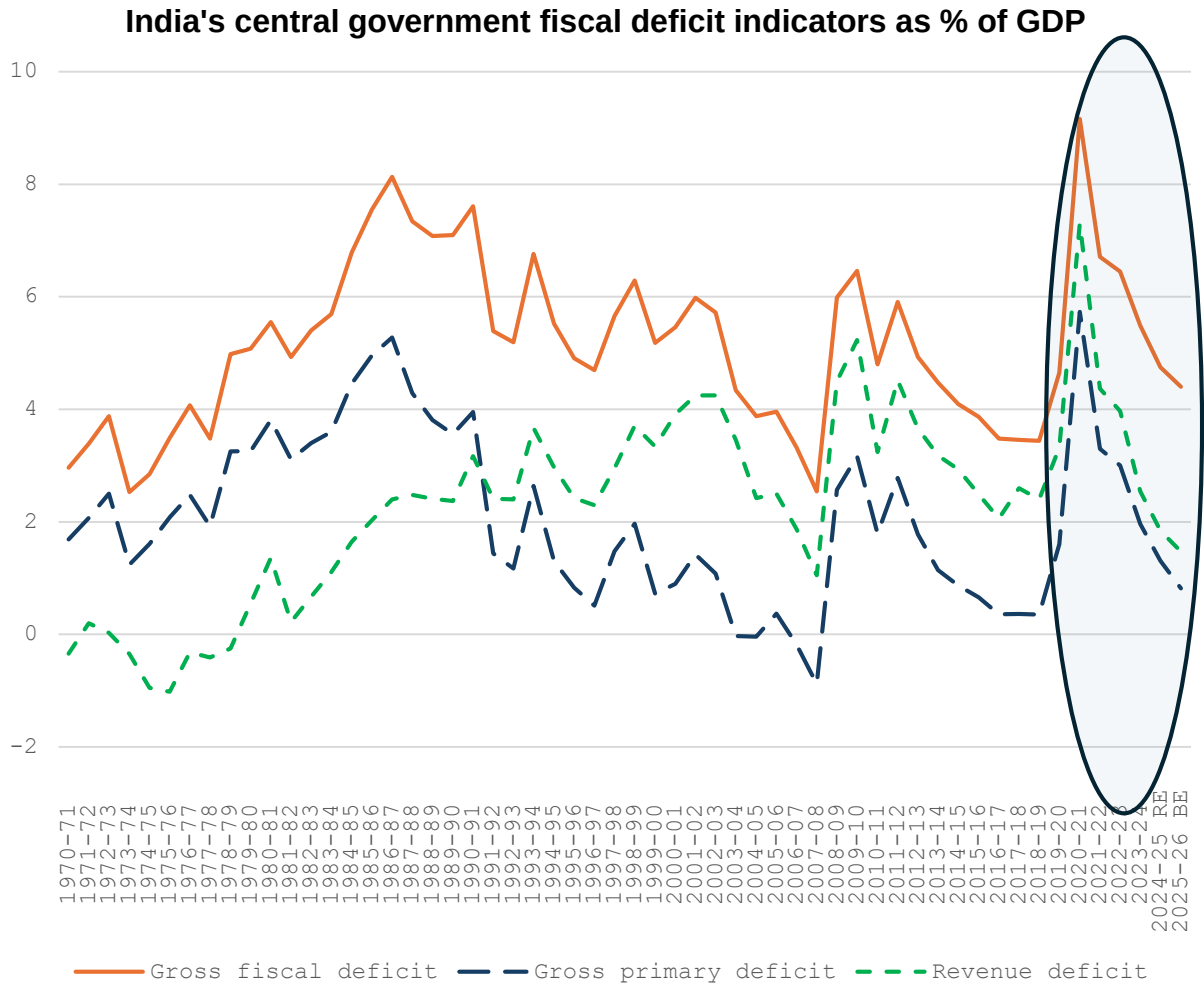
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Trends in GFD/GDP ratios for States & UTs with legislatures



- The State's GFD/GDP ratio has witnessed a marginal increase of late and the trend needs to be watched so that the remarkable fiscal consolidation the States achieved during FY05-08 is not frittered away.
- However, quality of fiscal spending has improved of late
- There is considerable inter-state variation in fiscal deficit trends

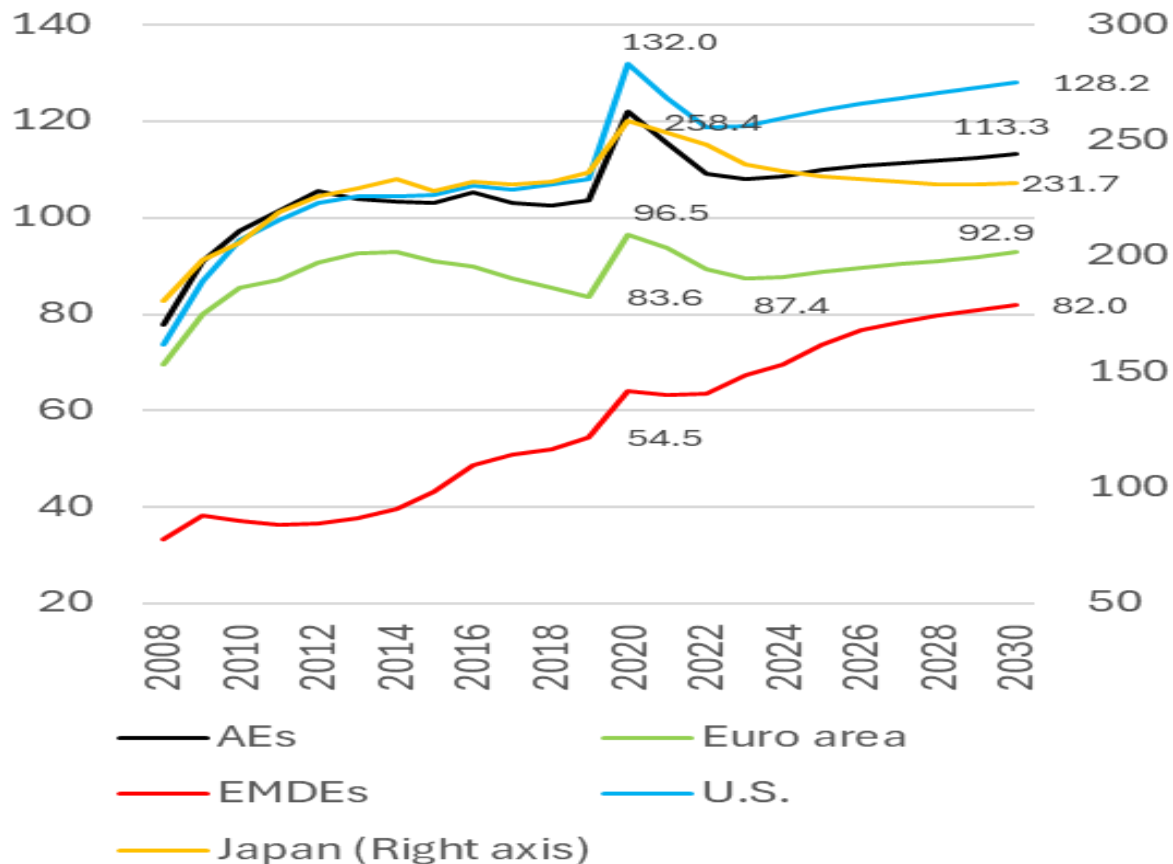
Central government back on fiscal consolidation path after the pandemic shock; will help in keeping public debt sustainable



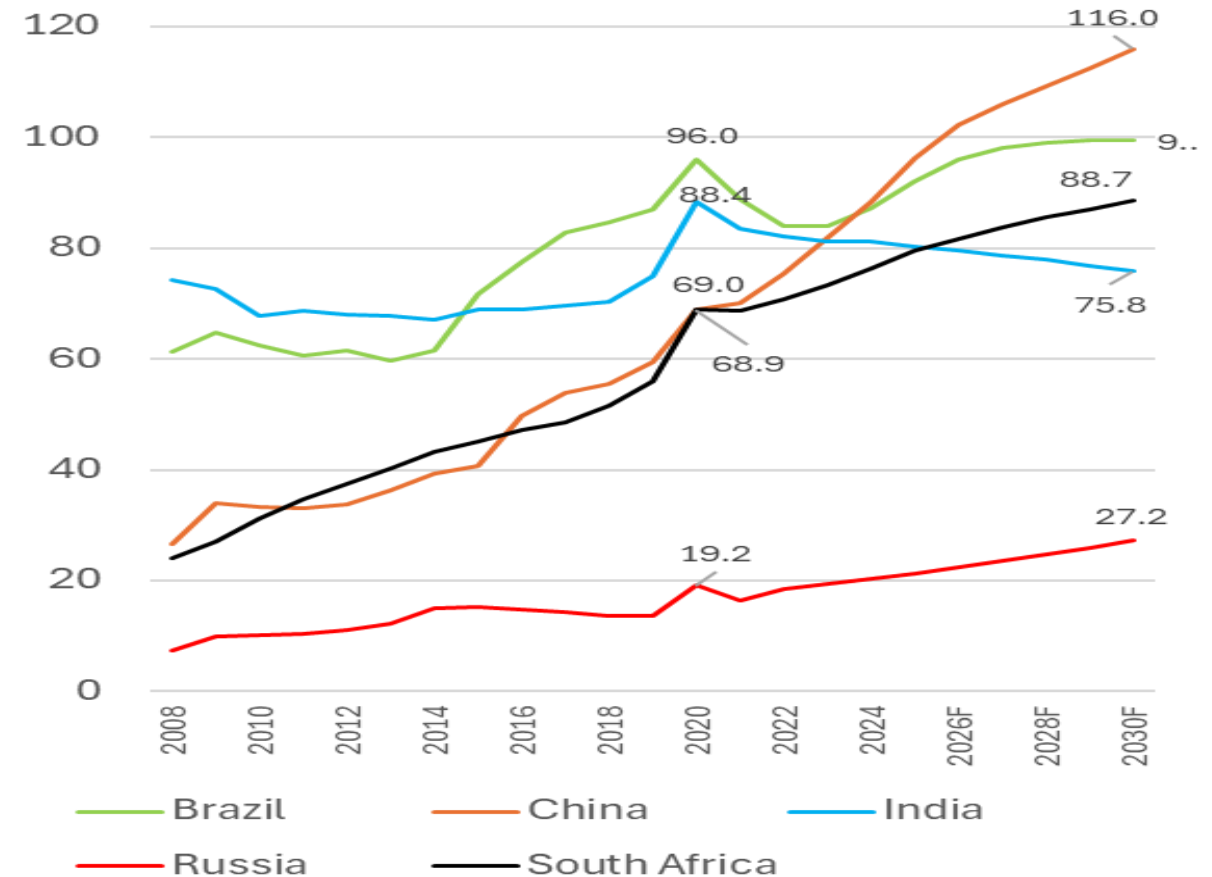
If the global economy slows down, fiscal space is limited; and fresh fiscal stimuluses could risk sovereign debt defaults

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General government gross debt to GDP ratios in select country groups/ countries (%)



General government gross debt to GDP ratios in select EMDEs (%)



How to Determine Debt Sustainability? ... Domar Condition

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- Any economic unit, entity and sector can take debt through some financial instrument which requires payment of interest and principal at future date(s) as per contract. Failure to do amounts to debt default.
- When governments (national and sub-national) incurs debt, it is counted as public debt also called government liabilities. The broadest definition of public debt can include obligations of state-owned enterprises but generally one focuses on only government debt. Government also incurs contingent liabilities that may devolve on government if it is guaranteed by it.
- The simplest thumb rule of sustainable public debt is that $r-g < 0$; i.e. the growth rate of the economy exceeds the interest rate. This was a rule given by Domar, Evsey D., "The Burden of Debt and National Income", *American Economic Review*, 3(4), 798-827, 1944
- In 2005, The IMF & the IDA arm of the World Bank introduced a Debt Sustainability Frameworks (DSF) for low-income countries (LICs), which has been revised from time to time. The DSF uses a template for both external debt and for public sector debt. Concessionality is an important element in this as a large part of the LIC debt is concessional and focusing on the present value (PV) of debt requires that to be build into the Debt Sustainability Analysis (DSA). Such analysis throws debt-service dynamics under a baseline scenario and also provide standardized alternative scenarios and stress tests. DSAs compares results with established thresholds and classifies it under four categories: **low risk (when there are no breaches of thresholds); moderate risk (when thresholds are breached in risk scenarios); high risk (when thresholds are breached in the baseline scenario); and in debt distress (when a distress event, like arrears or a restructuring, has occurred or is considered imminent).**
- LICs with unsustainable public debt typically seek IMF financial assistance and/or seek support from Paris Club, set up in 1956, which is a group of officials from major creditor countries whose role is to find coordinated and sustainable solutions to the payment difficulties experienced by debtor countries. As debtor countries undertake reforms to stabilize and restore their macroeconomic and financial situation, Paris Club creditors provide an appropriate debt treatment. Paris Club creditors provide debt relief by concessional rescheduling or reduction in debt service obligations during a defined period (flow treatment) or as of a set date (stock treatment). A similar treatment is negotiated for private creditors under the London Club set up in 1976.